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## **Report Name:** Oilseeds and Products Annual

**Country:** Australia

**Post:** Canberra

**Report Category:** Oilseeds and Products

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### **Report Highlights:**

Australian oilseed production prospects have been disrupted by developments in the Middle East, which have created diesel and nitrogenous fertilizer supply constraints and sharp increases in prices. This is primarily impacting canola production expectations. Canola production for marketing year (MY) 2026/27 is forecast at 6.2 million metric tons (MMT), a 19 percent decline from the previous year's estimate. Exports are projected to fall by 16 percent to 4.7 MMT, while crush volume is expected to remain stable at 1.3 MMT. Canola oil exports are forecast to increase marginally to 300,000 metric tons (MT), reaching a record high. Olive oil production is forecast to rise to 23,000 MT, primarily reflecting the crop's natural biennial yield cycle. Cottonseed production is projected to increase to 1.29 MMT, supported by improved irrigation water availability. Cottonseed exports are forecast to rise by 11 percent to 500,000 MT, while crush is expected to remain small but stable at 50,000 MT.

## EXECUTIVE SUMMARY

The situation in the Middle East has caused substantial disruption for the oilseeds sector in Australia, particularly for canola producers. At the time of planting for the MY 2026/27 crop, diesel supplies have been delayed and prices have approximately doubled. Nitrogenous fertilizer prices have also more than doubled. While supply is currently considered adequate for winter crop planting, there remains considerable uncertainty regarding availability for in-season top dressing.

In response, winter cropping producers are expected to adjust their planting programs to reduce reliance on nitrogen-intensive crops. For summer crops, including cotton—now entering the harvest phase—the primary impact in MY 2025/26 has been higher harvesting and transportation costs due to elevated diesel prices. Should the Middle East situation stabilize in the near term, these supply constraints and price pressures are expected to ease ahead of MY 2026/27 planting.

Canola production is forecast to decline but remain historically strong for a sixth consecutive season in MY 2026/27. Production is projected at 6.2 MMT, representing a 19 percent decrease from the previous year's near-record level, which was the second highest on record.

Among Australia's major winter crops—canola, wheat, barley, and pulses—canola and wheat are the most nitrogen-intensive. While producers remain committed to maintaining crop rotations that support long-term productivity, current input cost pressures are expected to influence planting and management decisions. FAS/Canberra forecasts a 6.8 percent decline in canola planted area and a 13.3 percent reduction in the national average yield. The decline in yield reflects both a reversion from a very high average yield in MY 2025/26 and more conservative fertilizer application during the growing season.

Soil moisture conditions at the start of the planting season are slightly improved compared to the same period last year, supported by early autumn rainfall. However, forecasts from the Australian Bureau of Meteorology indicate a likelihood of below-average rainfall in the months ahead. This outlook supports expectations of relatively strong planting area but lower average yields.

Canola crushing is forecast to remain stable at 1.3 MMT. Canola oil exports are expected to increase marginally to a record 300,000 metric tons (MT), while domestic consumption is projected to rise modestly, largely in line with population growth. Canola meal production is forecast to remain stable at 754,000 MT, with the majority consumed domestically and exports steady at 60,000 MT.

Olive oil production, while a minor component of Australia's oilseed sector, is forecast to increase to 23,000 MT in MY 2026/27, following an estimated 19,000 MT in MY 2025/26, due to the crop's biennial production cycle. Over the longer term, production is expected to trend upward as younger plantings mature and established groves continue to improve yields. Despite this growth, Australia is expected to remain a net importer of olive oil.

Cottonseed production is forecast to increase to 1.29 MMT in MY 2026/27, up from an estimated 1.13 MMT in MY 2025/26, with harvest for the latter commencing in April 2026. The increase is primarily driven by improved irrigation water availability in northern production regions, partially offset by reduced availability in southern areas. As a result, cottonseed exports are forecast to rise by 11 percent to 500,000 MT, while domestic consumption remains relatively stable. Cottonseed crushing is expected to remain unchanged at 50,000 MT and continue to represent a small share of the overall industry.

CANOLA

Production

**MY 2026/27 Production Forecast**

FAS/Canberra forecasts canola production for MY 2026/27 at 6.2 MMT, a 19 percent decline from the previous year. If realized, this would represent Australia’s fifth-largest canola crop on record and the sixth consecutive year of relatively strong production. This outcome is notable given diesel and nitrogenous fertilizer supply uncertainty and sharp increases in costs stemming from developments in the Middle East during the planting period.

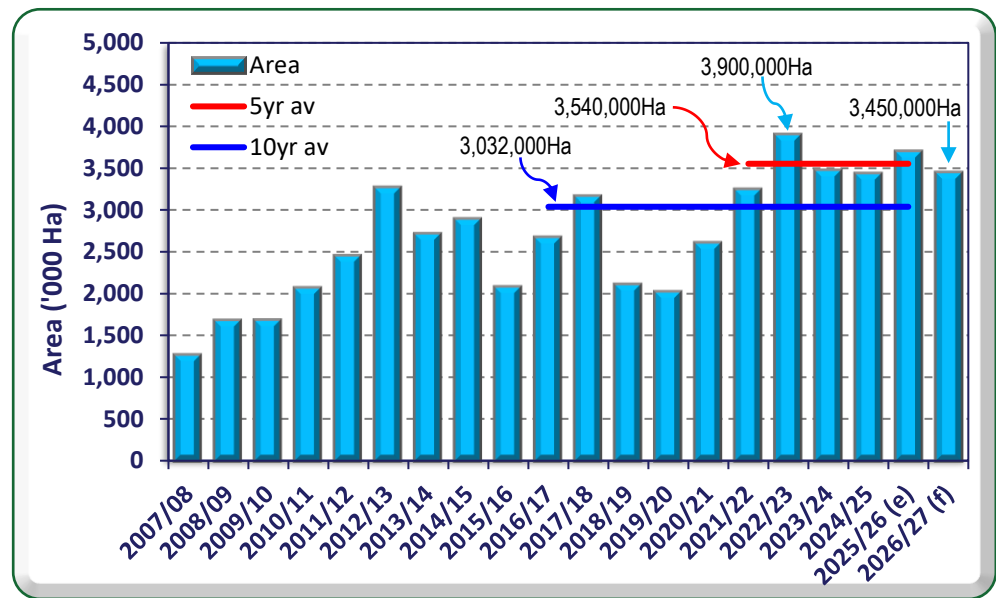
Australian winter crop producers have progressively strengthened the discipline of their crop rotation systems, which are critical for managing weeds and disease and sustaining long-term productivity. However, recent shifts in input costs—particularly for nitrogen and fuel—are expected to influence cropping decisions. Among Australia’s major winter crops (canola, wheat, barley, and pulses), canola and wheat are the most nitrogen intensive. As a result, growers are expected to adjust rotations away from high nitrogen-demand crops, including canola and wheat, toward lower nitrogen-demand alternatives such as barley, pulses and legume hay. Some producers are also expected to increase fallow area to support weed control and conserve subsoil moisture for the subsequent cropping season.

Harvested area for MY 2026/27 is forecast to decline by 6.8 percent to 3.45 million hectares (see Figure 1). This represents a modest 2.9 percent decrease from the five-year average but remains 13.5 percent above the 10-year average. The relatively limited contraction in area reflects, in part, that a significant portion of fertilizer requirements—particularly for planting—had already been secured prior to the escalation in prices.

Yield is forecast to decline by 13.0 percent, reflecting both seasonal and input-related factors. This places expected yields 9.5 percent below the five-year average but still 7.1 percent above the 10-year average (see Figure 2). The projected decline partly reflects a reversion from the exceptionally high yields achieved in MY 2025/26, as well as more conservative fertilizer application strategies.

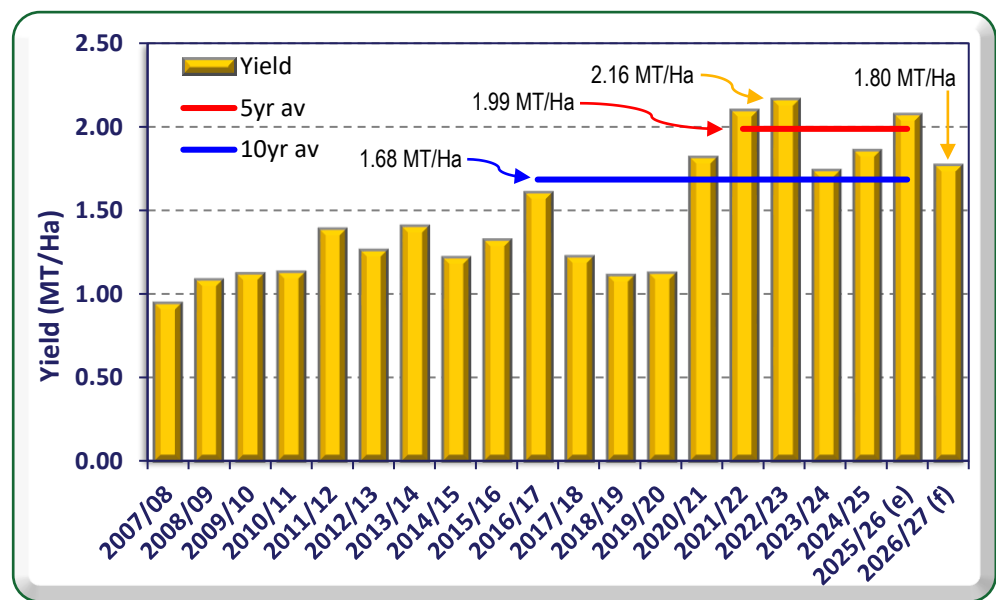
Seasonal conditions at planting have been mixed. Early autumn rainfall has improved subsoil moisture profiles compared to the previous year; however, the rainfall outlook for the coming months is generally below average. This combination supports expectations of solid planting but lower yield potential.

Figure 1 – Australian Canola Area Harvest History



Source: PSD Online / FAS/Canberra  
Note: (e) = estimate, (f) = forecast  
Note: Australia Marketing Year is Nov to Oct (eg MY 2025/26 = Nov 2025 to Oct 2026)

Figure 2 – Australian Canola Yield History



Source: PSD Online / FAS/Canberra  
Note: (e) = estimate, (f) = forecast  
Note: Australia Marketing Year is Nov to Oct (eg MY 2025/26 = Nov 2025 to Oct 2026)

A key additional constraint is uncertainty regarding the availability and cost of nitrogenous fertilizers for in-crop top dressing. With prices at elevated levels and supply uncertain, growers are expected to apply nitrogen more conservatively. Some producers may explore alternative nitrogen sources, including emerging foliar-applied microbial products designed to fix atmospheric nitrogen. While field trials have shown promising results, these technologies are not yet widely adopted at commercial scale, and their performance under varying seasonal conditions remains uncertain. The current environment may accelerate broader on-farm testing of these products.

### ***Factors Affecting Canola Production***

#### **Impact of Middle East Situation**

The Middle East situation has significantly increased input costs for Australian canola producers. Diesel prices have approximately doubled, while nitrogenous fertilizer prices have more than doubled, primarily due to disruptions to global energy and fertilizer supply chains.

In particular, disruptions to shipping and energy flows through the Strait of Hormuz—a critical global energy chokepoint—have contributed to the sharp rise in fuel and fertilizer prices.

If the disruption proves short-lived, the primary impact is expected to be higher fuel costs associated with planting and transport for MY 2026/27. Industry sources indicate that some growers secured diesel and fertilizer supplies prior to the escalation in prices, partially mitigating immediate impacts.

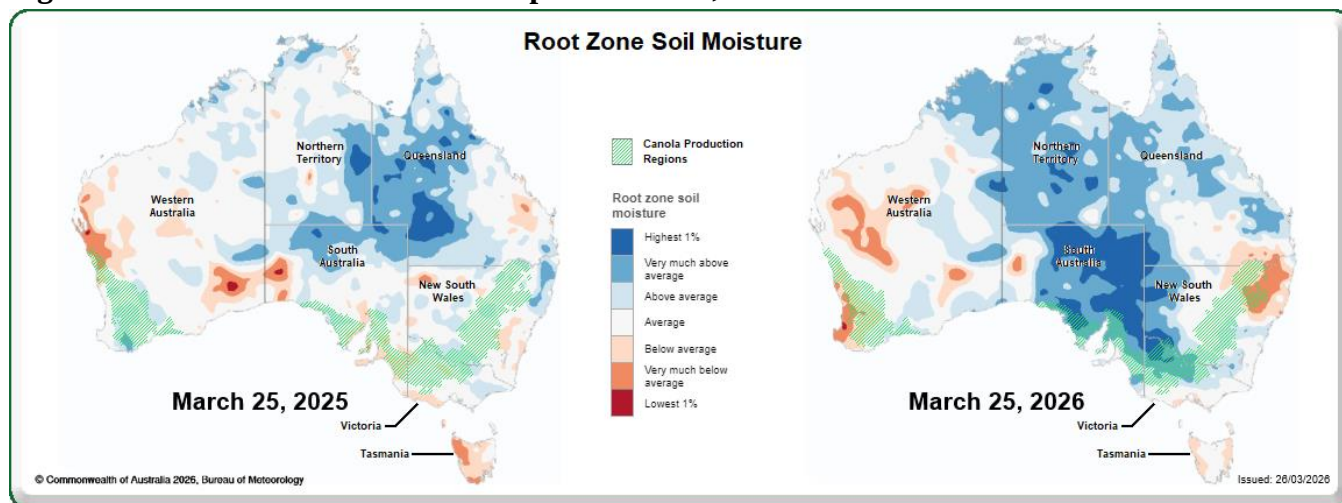
The Australian government reports that nitrogenous fertilizer supply is currently adequate for planting needs, either in-country or in transit. However, there is significant uncertainty regarding availability for in-season top dressing. Suppliers are reluctant to commit to large purchases at current elevated prices, given the risk of a rapid price correction should supply conditions normalize.

#### **Seasonal Outlook**

Soil moisture conditions across South Australia, Victoria, and most of New South Wales are significantly improved compared to the same time last year (see Figure 3). Northern New South Wales, a relatively minor canola-producing region, is an exception.

Western Australia has entered the planting period with lower soil moisture than the previous year. However, this is not atypical, as cropping systems in the region rely heavily on in-season rainfall rather than stored subsoil moisture. In recent seasons, late starts followed by strong winter and spring rainfall have still supported high production outcomes, suggesting that current conditions are not yet a major concern.

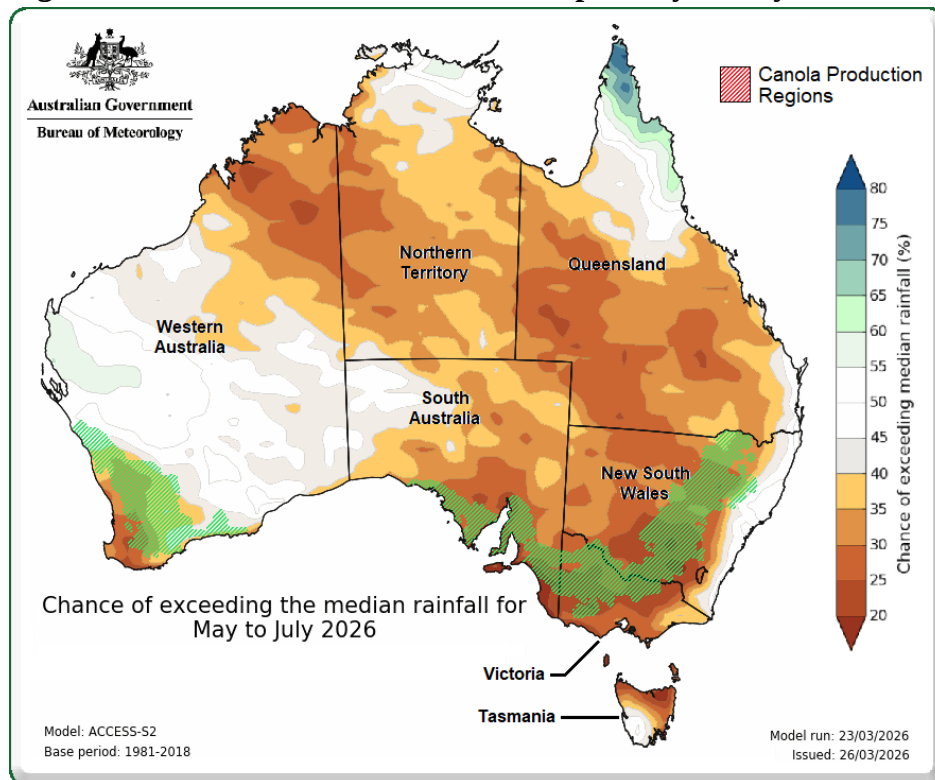
**Figure 3 – Australia Soil Moisture Map – March 25, 2025 and 2026**



Source: Australian Bureau of Meteorology / FAS/Canberra

The greater risk to production lies in the rainfall outlook. The Australian Bureau of Meteorology forecasts below-average rainfall for April through July 2026 (see Figure 4). A comparable seasonal pattern occurred in MY 2023/24, when crops established on early rainfall but relied heavily on stored moisture during the growing season. With some late-season rainfall, yields approached the long-term average, and total production was slightly below levels currently forecast for MY 2026/27.

**Figure 4 - Australia Rainfall Forecast Map – May to July 2026**



Source: Australian Bureau of Meteorology / FAS/Canberra

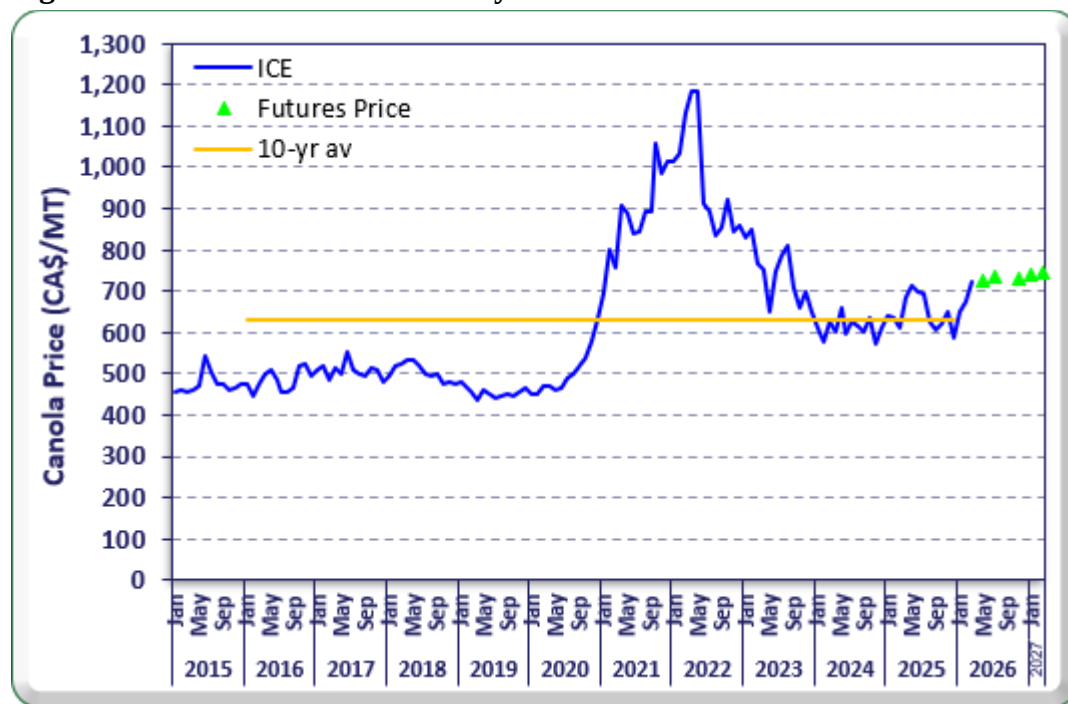
### Impact of Canola Prices

Australian canola prices are closely aligned with global markets, reflecting the sector's strong export orientation. The key global benchmark is ICE canola futures in Winnipeg.

Prices rose significantly in March 2026 in response to the Middle East situation. However, futures markets through January 2027 suggest limited further upward movement (see Figure 5).

Industry sources indicate that some producers expect canola prices to strengthen relative to other crops such as wheat or barley. This reflects the role of canola in biodiesel production, which may see increased demand under elevated energy prices. Combined with the need to maintain crop rotations, this expectation is likely to limit the extent of area reduction.

**Figure 5 – ICE Canola Price History & Futures**



Source: Intercontinental Exchange (ICE) #2 – historical prices  
www.investing.com - historic prices  
www.barchart.com/futures - futures prices as at March 30, 2026

### Exchange Rate Influence

The Australian dollar appreciated by approximately six percent between mid-January and mid-February 2026, reaching its highest level since early 2023 (see Figure 6).

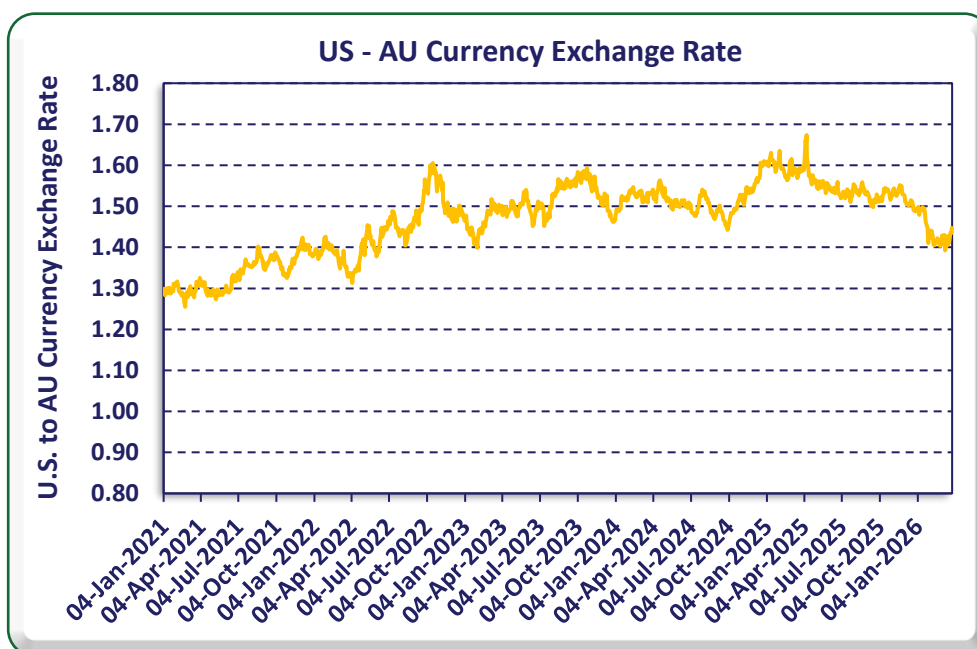
This appreciation reflects, in part, monetary policy divergence. The Reserve Bank of Australia has raised interest rates, while other major economies, including the United States, have eased or anticipate an easing cycle. The current Middle East situation has changed the outlook, however the situation in



Australia was influenced by a pre-existing increase in inflationary pressure. For this reason, the anticipation of a widening differential rates remains and is likely to support further currency strength through capital inflows.

A stronger Australian dollar reduces export competitiveness and places downward pressure on domestic canola prices. Given the export-oriented nature of the industry, this is expected to have some influence on planting decisions.

**Figure 6 – US:AU Currency Exchange Rate – 2021 to March 30, 2026**



Source: Reserve Bank of Australia

### Trade Policy Changes and Market Implications

Recent trade policy developments affecting Canada—the world’s largest canola exporter—have had follow-on effects for Australian markets.

- On March 4, 2025, the United States imposed a 25 percent tariff on Canadian canola seed, meal, and oil.
- On March 20, 2025, China imposed a 100 percent tariff on Canadian canola meal and oil (excluding seed).
- On August 14, 2025, China introduced anti-dumping duties on Canadian canola seed, raising the total tariff to approximately 84 percent and effectively halting trade.
- On March 1, 2026, China reduced the anti-dumping tariff to 5.9 percent, lowering the effective tariff on canola seed to 14.9 percent.



- On the same date, China removed the 100 percent tariff on Canadian canola meal, although the tariff on canola oil remains in place.

These policy shifts disrupted traditional trade flows. During late 2025, China began trialing imports of Australian canola seed, importing approximately 60,000 MT per month from November 2025. Over this period, China became the sixth-largest destination for Australian canola exports.

However, with the partial normalization of Canada–China trade, demand for Australian canola from China may ease. Nevertheless, elevated global energy prices may sustain demand for canola as a biodiesel feedstock, supporting prices and export demand during MY 2026/27.

### **MY 2025/26 Production Estimate**

Canola production for MY 2025/26 is estimated at 7.68 MMT, up 20 percent from the previous year and representing the second-highest production on record. This estimate aligns with the Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES) assessment, issued four months after harvest.

## **Consumption**

### **MY 2026/27 Consumption Forecast**

FAS/Canberra forecasts domestic canola crushing to remain stable at 1.3 MMT in MY 2026/27.

Growth in canola production over recent years, combined with elevated global canola oil prices in 2021 and 2022, has encouraged increased investment in Australia’s canola processing sector. As a result, existing processors have expanded capacity, lifting the baseline level of domestic consumption from MY 2025/26 onward.

Australia’s total industry crushing capacity is now estimated at approximately 1.6 MMT. This expanded capacity requires higher throughput to achieve optimal plant utilization rates, which continues to underpin demand for canola seed for crushing.

Regional production and consumption patterns remain a defining feature of the sector. Canola production in Western Australia and South Australia is predominantly export-oriented, whereas canola produced in eastern Australia is largely directed toward domestic crushing, with surplus volumes exported. Despite accounting for nearly half of national production, Western Australia contributes only around 10 percent of total domestic crush. This reflects the concentration of livestock industries in the eastern states—including beef feedlots, dairy, pork, and poultry—which drives demand for canola meal.

Over the past three years, several processors have announced plans to develop new crushing capacity in Western Australia. Currently, two companies have maintained active interest. One is progressing a

staged development, with initial capacity expected to come online around 2031. The second has secured a site but has placed the project on hold. This proposed facility, with an estimated capacity of approximately 1.3 MMT—nearly double Australia’s current capacity—remains contingent on the introduction of supportive federal biofuels policy, which has yet to be finalized.

**MY 2025/26 Consumption Estimate**

FAS/Canberra estimates canola consumption for crushing at 1.30 MMT in MY 2025/26, an uplift from 1.14 MMT for MY 2024/25 due to expanded crush capacity coming online.

Over the longer term, canola crushing in Australia has demonstrated a steady upward trend, increasing by approximately 70 percent over the past decade, driven by both capacity expansion and sustained demand for canola oil and meal.

| Trade   |
|---------|
| Exports |

**MY 2026/27 Export Forecast**

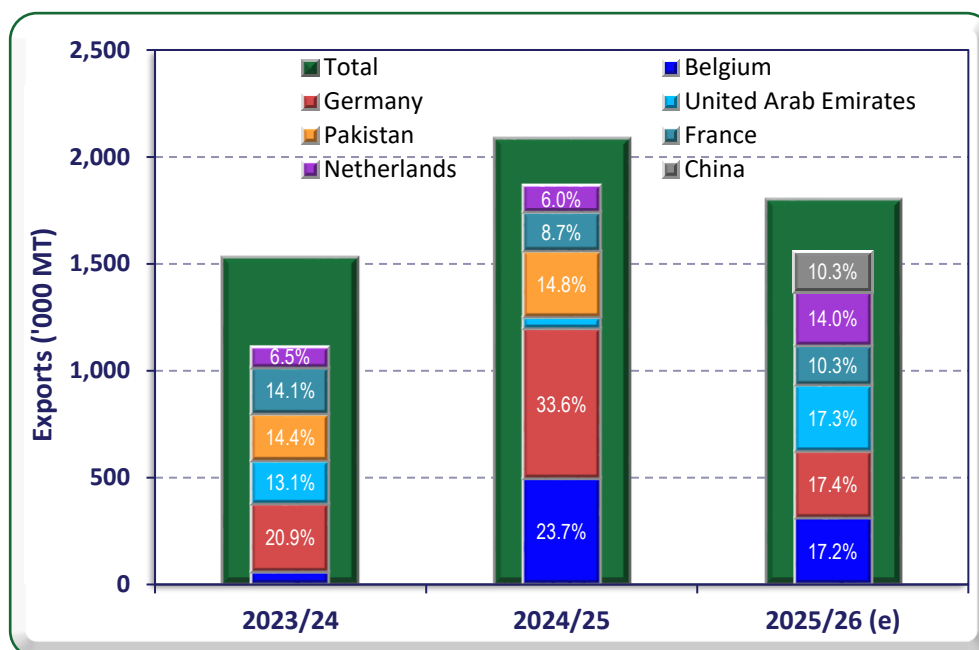
Canola exports for MY 2026/27 are forecast at 4.7 MMT, a decline of 0.9 MMT from the MY 2025/26 estimate. This reduction primarily reflects lower production associated with higher diesel and nitrogenous fertilizer costs stemming from developments in the Middle East. Despite this decline, export volumes would still rank as the sixth largest on record if realized.

Australia remains the world’s second-largest canola exporter, behind Canada, and has accounted for roughly one-third of global trade in recent years. Export market dynamics have evolved considerably over the past decade. The European Union (EU), historically a dominant export market for Australia, has seen its share decline from around 90 percent to as low as 40 percent, before rebounding to approximately 66 percent in MY 2024/25. Within the EU, Germany, Belgium, and France have traditionally been key destinations; however, their relative importance has declined in recent years, while demand from the Netherlands has increased.

Outside the EU, demand patterns have also shifted. In the first three months of MY 2025/26, exports to the United Arab Emirates and China increased significantly, while exports to Pakistan declined sharply (see Figure 7). These changes occurred prior to the escalation of the Middle East situation, which is expected to further influence global trade flows.

Australia’s position as a major supplier of canola to the global market provides flexibility to respond to shifting demand patterns. The evolving situation in the Middle East, particularly its impact on energy markets, may increase demand for canola as a biodiesel feedstock, potentially reshaping export destinations during the forecast period.

**Figure 7 – Major Canola Export Destinations – Nov to Jan MY 2023/24 to 2025/26**



Source: Australian Bureau of Statistics

Note: Australia Marketing Year is Nov to Oct (eg MY 2023/24 = Nov 2023 to Oct 2024)

The recent appreciation of the Australian dollar presents an additional headwind. A stronger currency reduces export competitiveness and may influence both planting decisions and the volume available for export in MY 2026/27.

### MY 2025/26 Export Estimate

FAS/Canberra estimates canola exports for MY 2025/26 at 5.6 MMT, a six percent increase from MY 2024/25. If realized, this would represent the third-highest export volume on record, supported by the second-largest production on record in MY 2025/26.

During the first three months of MY 2025/26 (November through January), Australia exported approximately 1.8 MMT of canola. Based on typical seasonal export patterns, this pace is consistent with achieving the full-year export estimate.

Trade dynamics have already begun to shift early in MY 2025/26 and may continue to evolve in response to the Middle East situation. In particular, increased demand from countries seeking canola for biodiesel production could further influence export flows.

### Stocks

FAS/Canberra forecasts canola ending stocks to remain relatively stable. Industry sources indicate that the majority of the crop is marketed by the end of June each year, with minimal carryover stocks held

prior to the commencement of the next harvest in November. As a result, stock levels remain structurally low and are not expected to materially change in MY 2026/27.

Table 1 - Production, Supply, and Distribution of Canola (Rapeseed)

| Oilseed, Rapeseed<br>Market Year Begins<br>Australia                        | 2024/2025     |          | 2025/2026     |          | 2026/2027     |          |
|-----------------------------------------------------------------------------|---------------|----------|---------------|----------|---------------|----------|
|                                                                             | Nov 2024      |          | Nov 2025      |          | Nov 2026      |          |
|                                                                             | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| Area Planted (1000 HA)                                                      | 3500          | 3500     | 3400          | 3720     | 0             | 3500     |
| Area Harvested (1000 HA)                                                    | 3439          | 3439     | 3702          | 3702     | 0             | 3450     |
| Beginning Stocks (1000 MT)                                                  | 456           | 456      | 211           | 205      | 0             | 712      |
| Production (1000 MT)                                                        | 6396          | 6396     | 7680          | 7680     | 0             | 6200     |
| MY Imports (1000 MT)                                                        | 1             | 1        | 2             | 2        | 0             | 2        |
| Total Supply (1000 MT)                                                      | 6853          | 6853     | 7893          | 7887     | 0             | 6914     |
| MY Exports (1000 MT)                                                        | 5282          | 5288     | 5350          | 5600     | 0             | 4700     |
| Crush (1000 MT)                                                             | 1140          | 1140     | 1200          | 1300     | 0             | 1300     |
| Food Use Dom. Cons. (1000 MT)                                               | 0             | 0        | 0             | 0        | 0             | 0        |
| Feed Waste Dom. Cons. (1000 MT)                                             | 220           | 220      | 275           | 275      | 0             | 200      |
| Total Dom. Cons. (1000 MT)                                                  | 1360          | 1360     | 1475          | 1575     | 0             | 1500     |
| Ending Stocks (1000 MT)                                                     | 211           | 205      | 1068          | 712      | 0             | 714      |
| Total Distribution (1000 MT)                                                | 6853          | 6853     | 7893          | 7887     | 0             | 6914     |
| Yield (MT/HA)                                                               | 1.8598        | 1.8598   | 2.0746        | 2.0746   | 0             | 1.7971   |
|                                                                             |               |          |               |          |               |          |
| (1000 HA) ,(1000 MT) ,(MT/HA)                                               |               |          |               |          |               |          |
| OFFICIAL DATA CAN BE ACCESSED AT: <a href="#">PSD Online Advanced Query</a> |               |          |               |          |               |          |

CANOLA MEAL

Production

MY 2026/27 Production Forecast

Canola meal production for MY 2026/27 is forecast to remain stable at 754,000 MT, unchanged from the previous year. If realized, this would represent the highest level of canola meal production on record in Australia. This outcome reflects the recent expansion of canola crushing capacity at existing facilities.

Typically, around one-fifth of Australia’s canola production is processed domestically, although this share varies depending on total production. Canola meal output is intrinsically linked to canola oil demand, as crushing profitability depends on both oil prices and the value of canola meal as a co-product.

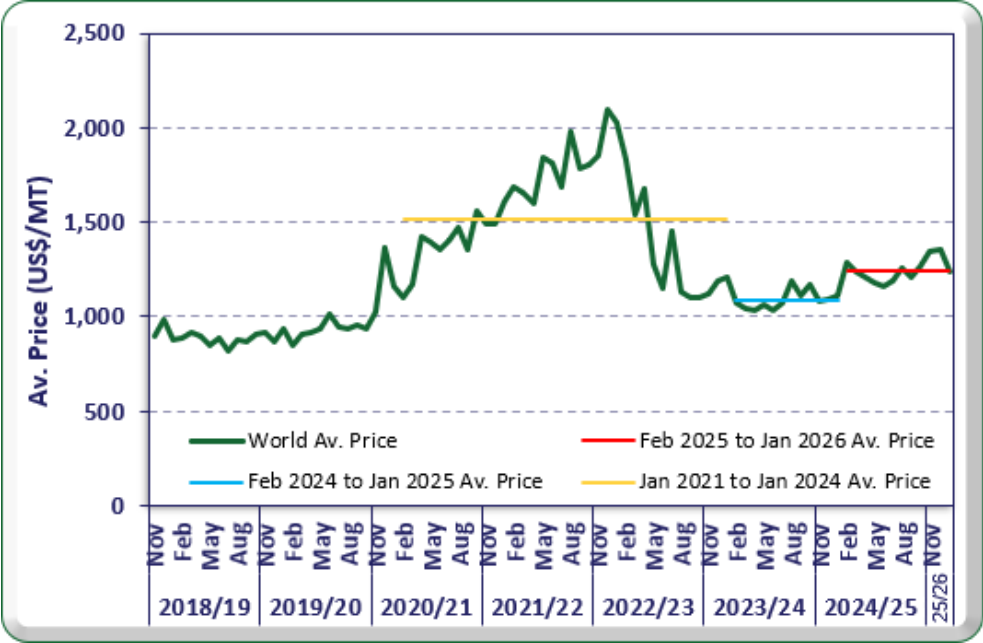
Canola meal is a high-quality, protein-rich feed ingredient, particularly valued for its high rumen-undegradable protein content. It is widely used across the livestock sector, with the beef cattle industry the largest consumer, followed by dairy. Growth in beef feedlot capacity and throughput, together with a gradual increase in supplementary feeding in the dairy sector, continues to support demand for canola meal and, by extension, production levels.

MY 2025/26 Production Estimate

FAS/Canberra estimates canola meal production for MY 2025/26 at 754,000 MT, up from 661,000 MT in MY 2024/25. This increase reflects additional crushing capacity coming online, driven by strong investment in response to elevated global canola oil prices between 2021 and late 2023 (see Figure 8).

As noted, crushing volumes are primarily driven by canola oil prices, with canola meal values and the ability to market the by-product supporting overall processing economics.

Figure 8 – Average Canola Export Price – MY 2018/19 to January MY 2025/26



Source: Australian Bureau of Statistics  
Note: Australia Marketing Year is Nov to Oct (eg MY 2024/25 = Nov 2024 to Oct 2025)

Consumption

MY 2026/27 Consumption Forecast

FAS/Canberra forecasts canola meal consumption for MY 2026/27 to remain stable at 700,000 MT. The vast majority of canola meal produced in Australia is consumed domestically, with exports typically accounting for less than 10 percent of production.

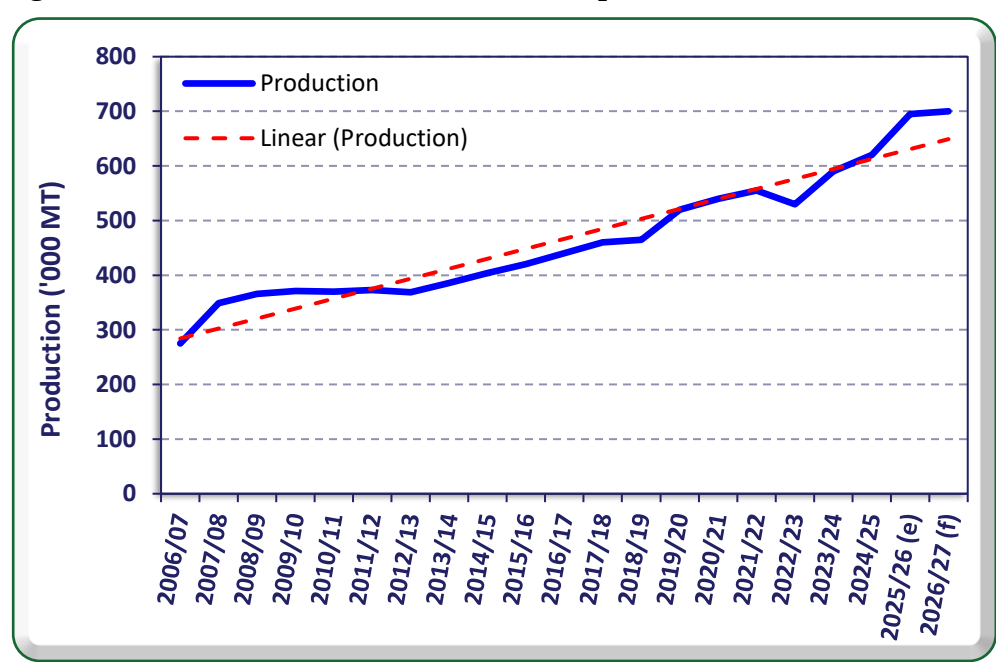
Most canola meal is produced in crushing facilities located in the eastern states, in close proximity to key end users in the beef, dairy, pork, and poultry industries. Canola meal competes with imported soybean meal, which has steadily increased over the past two decades. While soybean meal is the closest substitute, the two products serve distinct nutritional roles: canola meal is generally preferred for ruminants, whereas soybean meal is more commonly used in monogastric rations. The majority of soybean meal imports originate from Argentina, with volumes from the United States increasing.

Although Australia produces sufficient canola to support further expansion in crushing, domestic demand for canola meal has grown steadily rather than rapidly (see Figure 9). The balance between domestic utilization and export opportunities influences canola meal pricing, which in turn affects the long-term economics of canola crushing and oil production.

For MY 2025/26, however, domestic consumption has experienced a step increase, largely driven by stronger beef feedlot demand. This reflects increased throughput associated with rising global demand for Australian beef, particularly from the United States and China.

In periods of elevated oil prices—such as MY 2022/23—crushing margins may be driven primarily by oil values, reducing the relative importance of canola meal prices in determining crush volumes. In such cases, installed crushing capacity becomes the primary constraint.

**Figure 9 – Australian Canola Meal Consumption Trend**



Source: Australian Bureau of Statistics / FAS/Canberra  
Note: (e) = estimate, (f) = forecast  
Note: Australia Marketing Year is Nov to Oct (eg MY 2025/26 = Nov 2025 to Oct 2026)

**MY 2025/26 Consumption Estimate**

FAS/Canberra estimates canola meal consumption for MY 2025/26 at 695,000 MT, up 12 percent from 620,000 MT in MY 2024/25. This increase is largely attributable to stronger demand from the beef feedlot sector, driven by higher throughput in response to robust global beef demand.

## Trade

### MY 2026/27 Export Forecast

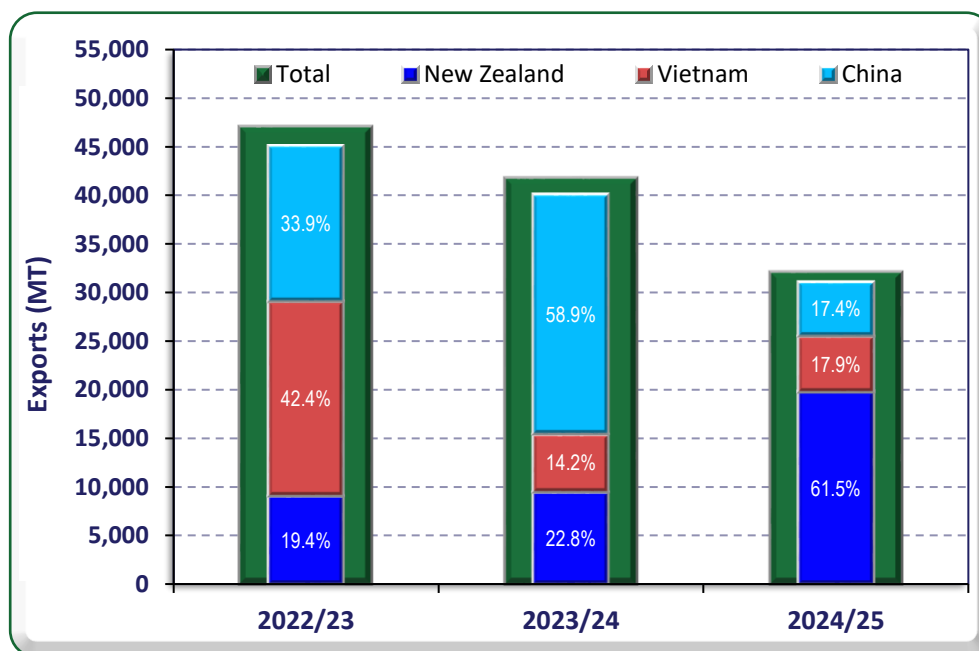
FAS/Canberra forecasts canola meal exports to remain stable at 60,000 MT in MY 2026/27. If realized, exports in both the forecast and estimate years would represent record levels for Australia.

Canola meal exports have expanded from a relatively low base in recent years, with MY 2021/22 marking the first notable increase, totaling 23,000 MT. Despite this growth, export volumes remain modest, and the number of destination markets is typically limited to around five.

Over the past five years, the majority of exports have been directed to China, New Zealand, and Vietnam, where canola meal is used in livestock feed rations.

Trade patterns have shown some volatility. In MY 2024/25, exports to China declined sharply, while shipments to New Zealand increased significantly (see Figure 10). However, in the first three months of MY 2025/26, export patterns have reverted to those observed in MY 2023/24, with China re-emerging as the dominant destination.

**Figure 10 – Major Canola Meal Export Destinations – MY 2022/23 to 2024/25**



Source: Australian Bureau of Statistics

Note: Australia Marketing Year is Nov to Oct (eg MY 2024/25 = Nov 2024 to Oct 2025)

China's import sourcing has shifted in recent years, with increased purchases from India and Russia and reduced imports from Canada, historically the largest global exporter of canola meal. These changes are linked to trade policy disruptions between Canada and China that began in early 2025.



Given Australia's relatively small share of global canola meal trade, exporters are generally well positioned to redirect volumes to alternative markets if demand from key destinations such as China weakens.

## MY 2025/26 Export Estimate

FAS/Canberra estimates canola meal exports for MY 2025/26 at 60,000 MT, up from 32,000 MT in MY 2024/25. This increase reflects higher crush volumes, resulting in a larger exportable surplus after domestic demand is met.

In the first three months of MY 2025/26, exports reached 23,850 MT, significantly higher than the 14,400 MT recorded during the same period in the previous year. This strong early performance supports the full-year export estimate.

## Stocks

Canola meal is perishable and typically must be utilized within a few weeks of production, which limits the accumulation of stocks. As a result, ending stocks remain consistently low and stable from year to year.

While dried canola meal can be stored for extended periods, the industry's capacity to produce and store dried product at scale is limited and not well defined.

### Table 2 - Production, Supply, and Distribution of Canola Meal

| Meal, Rapeseed<br>Market Year Begins<br>Australia                           | 2024/2025     |          | 2025/2026     |          | 2026/2027     |          |
|-----------------------------------------------------------------------------|---------------|----------|---------------|----------|---------------|----------|
|                                                                             | Nov 2024      |          | Nov 2025      |          | Nov 2026      |          |
|                                                                             | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| Crush <sup>(1000 MT)</sup>                                                  | 1140          | 1140     | 1200          | 1300     | 0             | 1300     |
| Extr. Rate, 999.9999 <sup>(PERCENT)</sup>                                   | 0.5798        | 0.5798   | 0.58          | 0.58     | 0             | 0.58     |
| Beginning Stocks <sup>(1000 MT)</sup>                                       | 17            | 17       | 26            | 26       | 0             | 25       |
| Production <sup>(1000 MT)</sup>                                             | 661           | 661      | 696           | 754      | 0             | 754      |
| MY Imports <sup>(1000 MT)</sup>                                             | 0             | 0        | 0             | 0        | 0             | 0        |
| Total Supply <sup>(1000 MT)</sup>                                           | 678           | 678      | 722           | 780      | 0             | 779      |
| MY Exports <sup>(1000 MT)</sup>                                             | 32            | 32       | 60            | 60       | 0             | 60       |
| Industrial Dom. Cons. <sup>(1000 MT)</sup>                                  | 0             | 0        | 0             | 0        | 0             | 0        |
| Food Use Dom. Cons. <sup>(1000 MT)</sup>                                    | 0             | 0        | 0             | 0        | 0             | 0        |
| Feed Waste Dom. Cons. <sup>(1000 MT)</sup>                                  | 620           | 620      | 630           | 695      | 0             | 700      |
| Total Dom. Cons. <sup>(1000 MT)</sup>                                       | 620           | 620      | 630           | 695      | 0             | 700      |
| Ending Stocks <sup>(1000 MT)</sup>                                          | 26            | 26       | 32            | 25       | 0             | 19       |
| Total Distribution <sup>(1000 MT)</sup>                                     | 678           | 678      | 722           | 780      | 0             | 779      |
|                                                                             |               |          |               |          |               |          |
| (1000 MT) ,(PERCENT)                                                        |               |          |               |          |               |          |
| OFFICIAL DATA CAN BE ACCESSED AT: <a href="#">PSD Online Advanced Query</a> |               |          |               |          |               |          |

## CANOLA OIL

### Production

#### MY 2026/27 Production Forecast

With canola crush forecast to remain stable in MY 2026/27, canola oil production is also expected to remain unchanged at 546,000 MT.

Crushing capacity in Australia has expanded in recent years, largely in response to elevated global canola oil prices between 2021 and late 2023. Australia currently operates six major crushing facilities in New South Wales and Victoria—states with the highest population and strongest domestic demand for canola oil—along with two smaller plants in Western Australia.

Industry sources estimate that total crushing capacity has increased from approximately 1.3 MMT to 1.6 MMT following recent expansion programs by two major processors on the East Coast.

Over the past three years, several processors have explored establishing new capacity in Western Australia. One smaller-scale project is expected to proceed, with potential for future expansion. A larger proposed development, with an estimated capacity of approximately 1.3 MMT—nearly double Australia’s current capacity—includes plans to produce sustainable aviation fuel (SAF) and edible oil. However, the viability of this project is contingent on supportive federal government policy for SAF, which has yet to materialize, and the project is currently understood to be on hold.

#### MY 2025/26 Production Estimate

FAS/Canberra estimates canola oil production for MY 2025/26 at 546,000 MT, up 15 percent from 473,000 MT in MY 2024/25. This increase reflects additional crushing capacity coming online.

### Consumption

#### MY 2026/27 Consumption Forecast

Canola oil consumption in MY 2026/27 is forecast to increase by 1.9 percent to 265,000 MT, up from 260,000 MT in the previous year. This modest growth is primarily driven by population increases.

While Australia has experienced relatively rapid population growth in recent years, federal government policy aims to moderate growth—primarily through immigration settings—toward the long-term trend of approximately 1.6 percent per annum.

Biodiesel production from canola oil remains minimal in Australia. There is no national biodiesel mandate, and only limited mandates exist at the state level. In addition, industry sources indicate that biodiesel production from alternative feedstocks, such as tallow and used cooking oil, is generally more cost competitive.

There is growing interest in the production of sustainable aviation fuel (SAF) as part of broader efforts to reduce emissions in the aviation sector. SAF can be derived from several feedstocks, including canola oil and ethanol. However, despite strong industry interest, the development of a domestic SAF industry remains dependent on federal policy support to provide investment certainty.

**MY 2025/26 Consumption Estimate**

FAS/Canberra estimates canola oil consumption for MY 2025/26 at 260,000 MT, a modest increase of 5,000 MT from the previous year. This growth is primarily attributable to population increases.

| Trade   |
|---------|
| Exports |

**MY 2026/27 Export Forecast**

Canola oil exports for MY 2026/27 are forecast at 300,000 MT, an increase of 10,000 MT (3.4 percent) from the MY 2025/26 estimate. This modest growth reflects a slight increase in available exportable supply following the expansion in crushing capacity and production in MY 2025/26.

**MY 2025/26 Export Estimate**

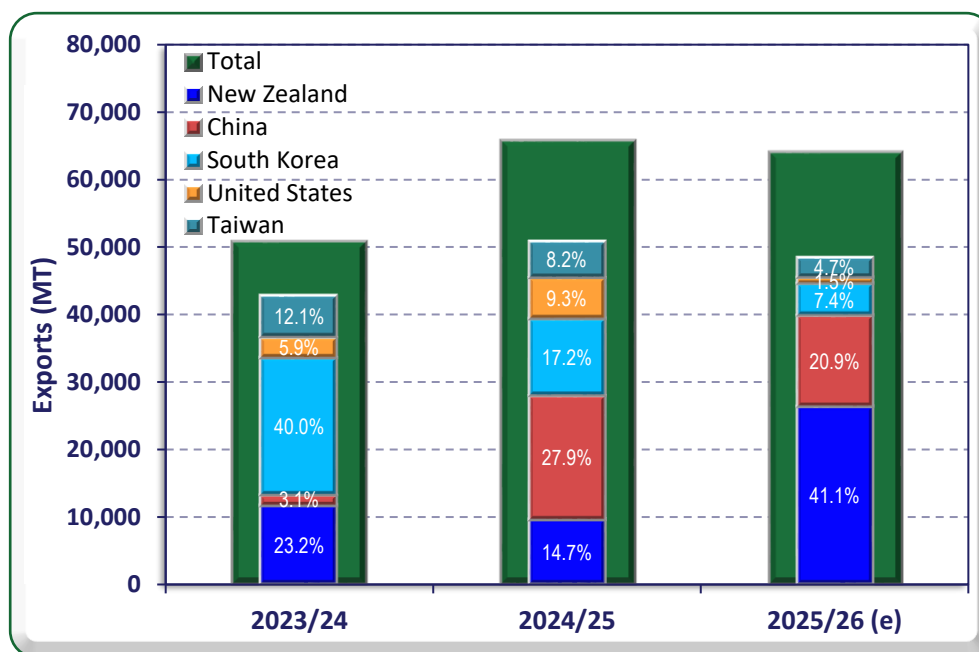
FAS/Canberra estimates canola oil exports for MY 2025/26 at 290,000 MT, up 35,000 MT (13.7 percent) from MY 2024/25.

During the first three months of MY 2025/26 (November to January), exports totaled approximately 64,000 MT, broadly in line with the same period in the previous year. However, increased crushing capacity and higher production are expected to support a stronger export pace over the remainder of the marketing year.

Australia exports canola oil to a diverse range of markets. Notably, demand from New Zealand increased significantly in the first three months of MY 2025/26 compared to previous years (see Figure 11). Over the same period, exports to China and South Korea declined.

China’s total canola oil imports increased during this period, with imports from Russia rising by approximately 35 percent, contributing to reduced demand for Australian product. In South Korea, the decline in imports from Australia reflects a normalization following a temporary increase in demand during a period of reduced Canadian supply due to drought.

**Figure 11 – Major Canola Meal Export Destinations – Nov-Jan MY 2023/24 to 2025/26**



Source: Australian Bureau of Statistics

Note: Australia Marketing Year is Nov to Oct (eg MY 2025/26 = Nov 2025 to Oct 2026)

## Imports

### MY 2026/27 Import Forecast

Canola oil imports for MY 2026/27 are forecast at 15,000 MT, unchanged from the MY 2025/26 estimate. Imports account for a small share of the market—approximately three percent of domestic production and five percent of exports—and have remained relatively stable over the past decade.

### MY 2025/26 Import Estimate

In the first three months of MY 2025/26 (November to January), import volumes were consistent with the same period in the previous year. FAS/Canberra does not anticipate any market disruption for the remaining nine months of the marketing year that would impact the current full year estimate.

## Stocks

Canola oil ending stocks are typically stable from year to year, reflecting the balance between domestic consumption, exports, and production. This pattern is expected to continue in MY 2026/27, with no significant change in stock levels anticipated.

**Table 3 - Production, Supply, and Distribution of Canola Oil**

| Oil, Rapeseed<br>Market Year Begins<br>Australia                            | 2024/2025     |          | 2025/2026     |          | 2026/2027     |          |
|-----------------------------------------------------------------------------|---------------|----------|---------------|----------|---------------|----------|
|                                                                             | Nov 2024      |          | Nov 2025      |          | Nov 2026      |          |
|                                                                             | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| <b>Crush</b> (1000 MT)                                                      | 1140          | 1140     | 1200          | 1300     | 0             | 1300     |
| <b>Extr. Rate, 999.9999</b> (PERCENT)                                       | 0.4149        | 0.4149   | 0.4142        | 0.42     | 0             | 0.42     |
| <b>Beginning Stocks</b> (1000 MT)                                           | 56            | 56       | 44            | 39       | 0             | 50       |
| <b>Production</b> (1000 MT)                                                 | 473           | 473      | 497           | 546      | 0             | 546      |
| <b>MY Imports</b> (1000 MT)                                                 | 17            | 15       | 15            | 15       | 0             | 15       |
| <b>Total Supply</b> (1000 MT)                                               | 546           | 544      | 556           | 600      | 0             | 611      |
| <b>MY Exports</b> (1000 MT)                                                 | 262           | 255      | 235           | 290      | 0             | 300      |
| <b>Industrial Dom. Cons.</b> (1000 MT)                                      | 0             | 0        | 0             | 0        | 0             | 0        |
| <b>Food Use Dom. Cons.</b> (1000 MT)                                        | 240           | 250      | 275           | 260      | 0             | 265      |
| <b>Feed Waste Dom. Cons.</b> (1000 MT)                                      | 0             | 0        | 0             | 0        | 0             | 0        |
| <b>Total Dom. Cons.</b> (1000 MT)                                           | 240           | 250      | 275           | 260      | 0             | 265      |
| <b>Ending Stocks</b> (1000 MT)                                              | 44            | 39       | 46            | 50       | 0             | 46       |
| <b>Total Distribution</b> (1000 MT)                                         | 546           | 545      | 556           | 600      | 0             | 611      |
| (1000 MT) ,(PERCENT)                                                        |               |          |               |          |               |          |
| OFFICIAL DATA CAN BE ACCESSED AT: <a href="#">PSD Online Advanced Query</a> |               |          |               |          |               |          |

## OLIVE OIL

### Production

#### MY 2026/27 Production Forecast

Australian olive oil production for MY 2026/27 is forecast to increase to 23,000 MT, a 21 percent rise from the MY 2025/26 estimate of 19,000 MT. This increase primarily reflects the natural biennial bearing cycle of olive trees, with yields typically rebounding in an “on-year” following a lower-yielding “off-year.” Despite this cyclical variability, production is expected to trend upward over the medium term as younger plantings continue to mature and deliver higher yields.

The Australian olive oil industry is heavily oriented toward Extra Virgin Olive Oil (EVOO), which accounts for approximately 90 to 95 percent of total output. EVOO is extracted through cold pressing, preserving its quality and premium positioning. Lower-grade olive oil is extracted from residual olive paste using chemical processes and is typically sold at a discount or used in processed products.

Industry sources indicate that average EVOO extraction rates in Australia range between 15 and 18 percent. Lower extraction rates are often associated with high fruit moisture content due to suboptimal seasonal conditions. In addition, some producers harvest earlier than optimal for logistical reasons, while smaller operators may face efficiency constraints due to less advanced processing equipment.

Structural improvements within the industry are also supporting long-term productivity. Many large-scale producers have undertaken replanting programs, replacing underperforming varieties with higher-

yielding cultivars. While some programs have recently been completed, it will take several years for the full productivity benefits to be realized.

The sector continues to expand, with an estimated 30 percent of trees less than eight years old. Olive trees typically begin bearing fruit at around three years of age and reach full productivity at approximately eight years. Among major producers, around 30 percent of trees are currently in the three- to seven-year growth phase, while the remaining 70 percent are fully mature. Mature trees in traditional grove systems yield around 15 MT/ha, while high-density hedge plantings can exceed 20 MT/ha.

As a greater proportion of trees reach maturity, industry projections point to steady production growth over the next decade. Large-scale commercial groves are primarily located in favorable temperate regions, including southern New South Wales, northern Victoria, and the southwest of Western Australia.

### **MY 2025/26 Production Estimate**

FAS/Canberra estimates olive oil production for MY 2025/26 at 19,000 MT, a decline of 2,000 MT (approximately 10 percent) from MY 2024/25. This reduction reflects the “off-year” phase of the biennial production cycle.

Seasonal conditions for MY 2025/26 have been generally favorable. Harvest is expected to run from mid-March through July 2026. Producers in key growing regions report warm, mild, and relatively dry conditions since mid-2025, which are conducive to both yield and oil quality. While some short-duration heat events occurred during summer, these were manageable and did not materially affect fruit development. Overall, yields are expected to be average to above average for the season.

## **Consumption**

### **MY 2026/27 Consumption Forecast**

FAS/Canberra forecasts olive oil consumption at 54,000 MT in MY 2026/27, a slight increase from 53,000 MT in MY 2025/26. Growth is primarily driven by population increases.

In Australia, EVOO is generally not considered a primary cooking oil and is not widely used as a substitute for canola or other vegetable oils. Most domestically produced EVOO is sold through retail channels. However, there is some evidence of gradual substitution toward EVOO, driven by consumer perceptions of health benefits.

**MY 2025/26 Consumption Estimate**

FAS/Canberra estimates MY 2025/26 consumption at 53,000 MT, broadly stable compared to MY 2024/25. Strong population growth in recent years has supported a gradual upward trend in consumption.

| Trade   |
|---------|
| Imports |

**MY 2026/27 Import Forecast**

Olive oil imports are forecast to decline to 35,000 MT in MY 2026/27, down from 40,000 MT in MY 2025/26. This reduction largely reflects increased domestic production associated with the biennial “on-year.”

Industry sources indicate that approximately 40 percent of imported olive oil is sold through retail channels, including both EVOO and lower-grade products. The remaining 60 percent is primarily lower-quality oil supplied to the food service and food manufacturing sectors.

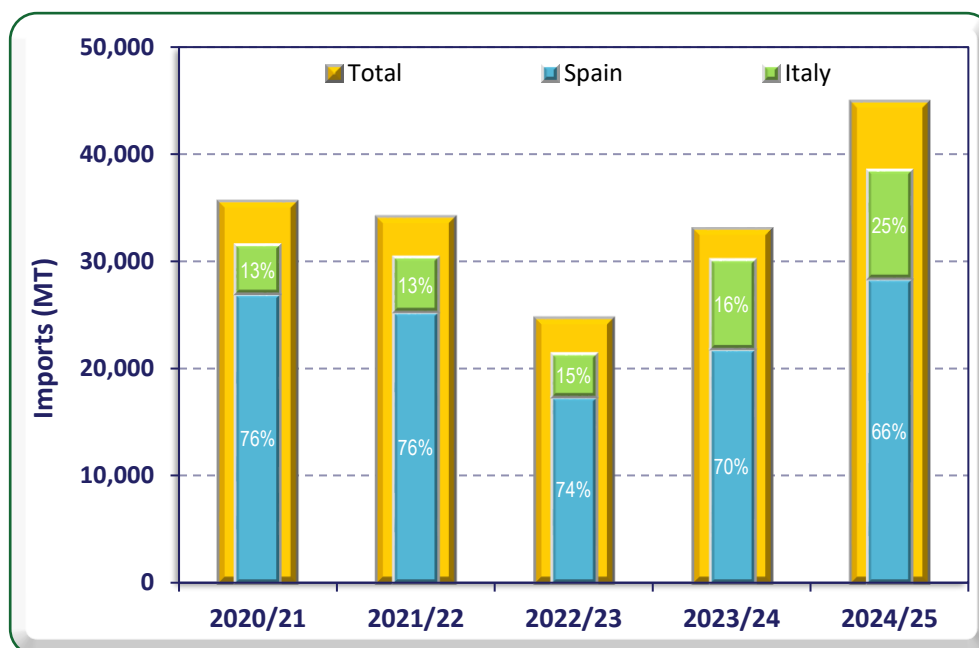
**MY 2025/26 Import Estimate**

FAS/Canberra estimates MY 2025/26 imports at 40,000 MT, a decline of 5,000 MT from the record 45,000 MT recorded in MY 2024/25. If realized, this would represent the second highest import level on record.

The elevated import levels in MY 2024/25 were likely a response to lower global prices following supply constraints in MY 2022/23 and MY 2023/24, when drought conditions in the European Union—particularly in Spain, Italy, Greece, and Portugal—significantly reduced production.

Spain remains Australia’s dominant supplier, typically accounting for two-thirds to three-quarters of total imports, followed by Italy (see Figure 12), which increased its market share in MY 2024/25. Together, these two countries have consistently supplied around 85 to 90 percent of Australia’s olive oil imports over the past two decades.

**Figure 12 – Australian Olive Oil Imports – MY 2020/21 to MY 2024/25**



Source: Australian Bureau of Statistics

Note: Australia Marketing Year is January to December (eg MY 2024/25 = Jan 2025 to Dec 2025)

### Exports

FAS/Canberra forecasts olive oil exports to remain stable at 3,000 MT in MY 2026/27, unchanged from MY 2025/26. The majority of Australia's olive oil production is consumed domestically, reflecting strong local demand and the country's status as a net importer.

Although production is expected to grow over the next decade as trees mature, without significant expansion in planted area Australia is likely to remain a net importer of olive oil over the medium to long term.

### Stocks

Olive oil ending stocks are forecast to remain relatively stable in MY 2026/27. Domestic producers tend to retain higher stock levels in "on-years" to ensure adequate supply during subsequent "off-years." However, importers also play a significant role in balancing the market and may adjust procurement volumes based on global availability and pricing. As a result, stock levels do not always move in line with domestic production from year to year.



**Table 4 - Production, Supply, and Distribution of Olive Oil**

| Oil, Olive<br>Market Year Begins<br>Australia                               | 2024/2025     |          | 2025/2026     |          | 2026/2027     |          |
|-----------------------------------------------------------------------------|---------------|----------|---------------|----------|---------------|----------|
|                                                                             | Jan 2025      |          | Jan 2026      |          | Jan 2027      |          |
|                                                                             | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| <b>Area Planted</b> (1000 HA)                                               | 36            | 36       | 36            | 36       | 0             | 36       |
| <b>Area Harvested</b> (1000 HA)                                             | 36            | 24       | 36            | 25       | 0             | 26       |
| <b>Trees</b> (1000 TREES)                                                   | 4600          | 4600     | 4600          | 4600     | 0             | 4600     |
| <b>Beginning Stocks</b> (1000 MT)                                           | 4             | 4        | 16            | 16       | 0             | 19       |
| <b>Production</b> (1000 MT)                                                 | 21            | 21       | 19            | 19       | 0             | 23       |
| <b>MY Imports</b> (1000 MT)                                                 | 45            | 45       | 40            | 40       | 0             | 35       |
| <b>Total Supply</b> (1000 MT)                                               | 70            | 70       | 75            | 75       | 0             | 77       |
| <b>MY Exports</b> (1000 MT)                                                 | 2             | 2        | 3             | 3        | 0             | 3        |
| <b>Industrial Dom. Cons.</b> (1000 MT)                                      | 0             | 0        | 0             | 0        | 0             | 0        |
| <b>Food Use Dom. Cons.</b> (1000 MT)                                        | 52            | 52       | 60            | 53       | 0             | 54       |
| <b>Feed Waste Dom. Cons.</b> (1000 MT)                                      | 0             | 0        | 0             | 0        | 0             | 0        |
| <b>Total Dom. Cons.</b> (1000 MT)                                           | 52            | 52       | 60            | 53       | 0             | 54       |
| <b>Ending Stocks</b> (1000 MT)                                              | 16            | 16       | 12            | 19       | 0             | 20       |
| <b>Total Distribution</b> (1000 MT)                                         | 70            | 70       | 75            | 75       | 0             | 77       |
|                                                                             |               |          |               |          |               |          |
| (1000 HA) ,(1000 TREES) ,(1000 MT)                                          |               |          |               |          |               |          |
| OFFICIAL DATA CAN BE ACCESSED AT: <a href="#">PSD Online Advanced Query</a> |               |          |               |          |               |          |

## COTTONSEED

### Production

#### MY 2026/27 Production Forecast

FAS/Canberra forecasts cottonseed production to increase to 1.29 MMT in MY 2026/27, up from an estimated 1.13 MMT in MY 2025/26. This growth reflects expectations of a modest expansion in cotton plantings, supported by improved irrigation water availability in key producing regions of southern Queensland and northern New South Wales. However, the overall increase is constrained by reduced water availability in central and southern New South Wales, as well as a stronger Australian dollar.

Planted area is forecast to rise to 570,000 hectares, from 549,000 hectares in MY 2025/26. The increase is expected to be driven by irrigated production, while dryland cotton area is projected to remain largely unchanged.

### *Factors Affecting Cottonseed Production*

#### Impact of Middle East Situation

The Middle East situation has increased input costs for Australian cotton producers, primarily through higher diesel fuel and nitrogen-based fertilizer prices. Disruptions to shipping and energy flows through the Strait of Hormuz—a critical global energy chokepoint handling a significant share of global oil and fertilizer trade—have contributed to these increases.

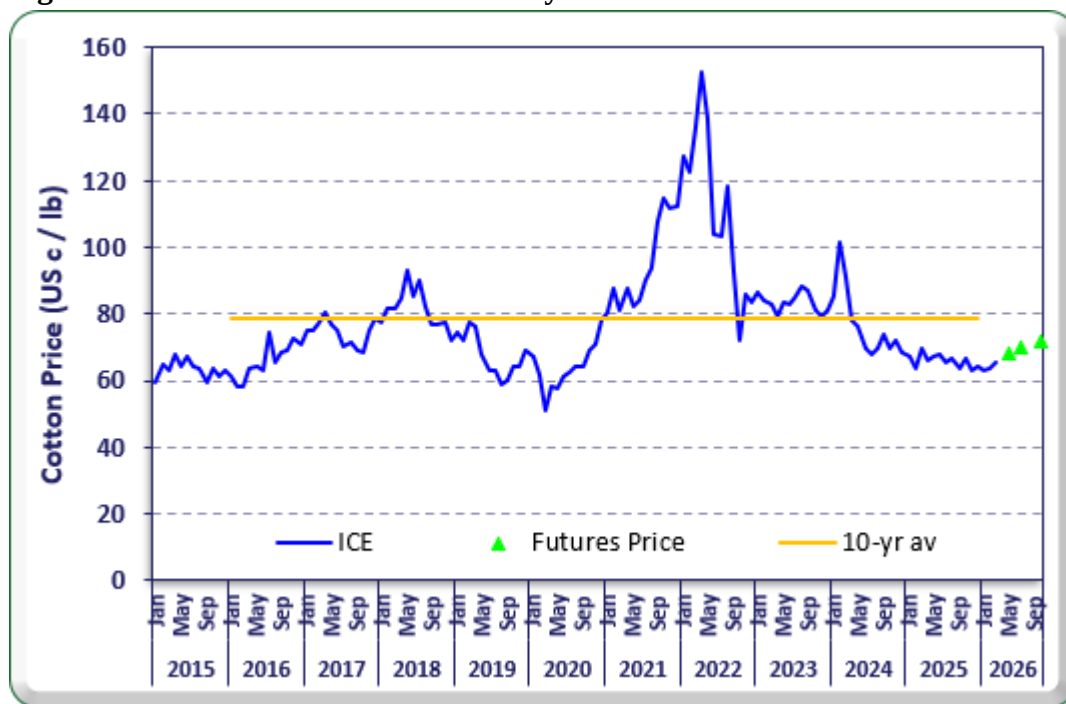
If the conflict is short-lived, the primary impact on cotton producers is expected to be higher fuel costs affecting harvesting and transport for MY 2025/26. However, a prolonged disruption could influence planting decisions for MY 2026/27, particularly if elevated fertilizer and fuel costs coincide with relatively low cotton prices. For the purposes of this report, it is assumed that the conflict will be short-lived, consistent with current U.S. policy expectations.

#### Impact of Cotton Prices

Cotton is grown primarily for lint rather than cottonseed; therefore, cotton prices are the principal driver of planting decisions. Australian cotton prices are closely aligned with global markets, as nearly all production is exported. The benchmark ICE #2 cotton price has remained relatively flat and below the 10-year average in the lead-up to the MY 2025/26 harvest (see Figure 13).

Futures prices indicate a modest improvement ahead of MY 2026/27 planting; however, prices are expected to remain below historical averages. This subdued price outlook, combined with rising input costs, is likely to dampen grower incentives to expand plantings.

**Figure 13 – ICE #2 Cotton Price History & Futures**



Source: Intercontinental Exchange (ICE) #2 – historical prices  
www.investing.com - historic prices  
www.barchart.com/futures - futures prices as at March 19, 2026

The impact is expected to be more pronounced for dryland cotton, which typically yields 3.0 to 3.5 bales per hectare and is more reliant on favorable rainfall conditions. Due to its higher production risk and

lower yield potential, dryland cotton generally requires higher prices to remain viable compared to irrigated production.

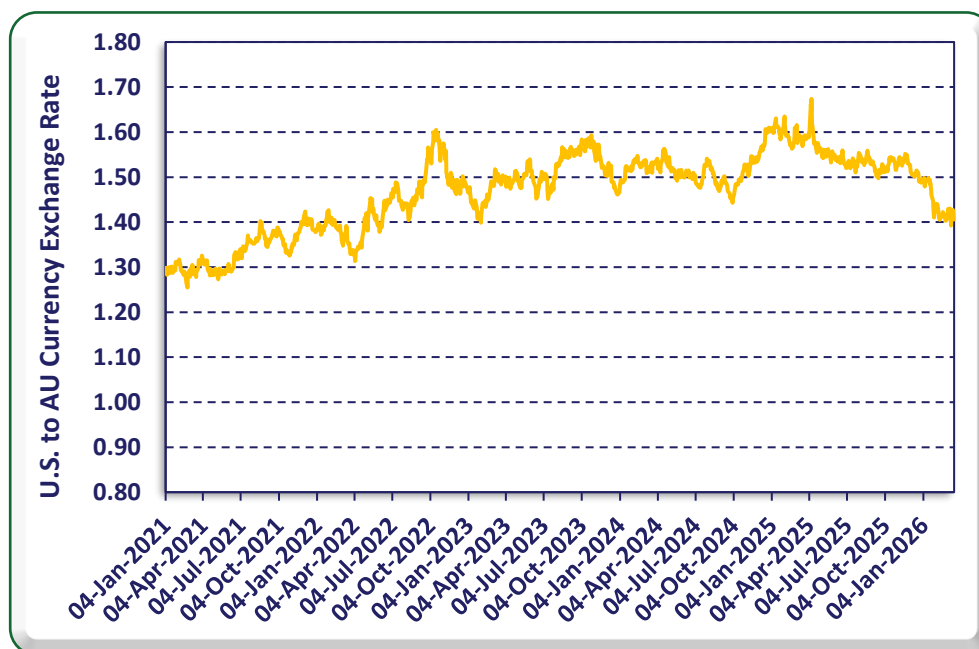
#### Exchange Rate Influence

The Australian currency has strengthened by around six percent over a four-week period from mid-January to mid-February of 2026. It is at its strongest point since February of 2023 (see Figure 14).

The Australian economy was facing inflationary pressures prior to the impacts of the Middle East situation and the Reserve Bank of Australia raised rates by 25 basis points on March 17, 2026 and economists broadly anticipate further reserve bank interest rate rises during 2026. Many other major economies, including the United States, had been anticipating reducing federal reserve interest rates prior to the situation in the Middle East. For the U.S. even if there are no further Federal Reserve rate cuts the gap in rates between Australia and the U.S. is likely to widen. This would improve Australia's relative cash yield rate and attract capital inflows. For these reasons the broad consensus from economists is that Australia's currency is likely to further strengthen throughout 2026.

A stronger Australian dollar reduces export competitiveness and places downward pressure on domestic cotton prices. Given the export-oriented nature of the industry, this is expected to have some influence on planting decisions.

**Figure 14 – US:AU Currency Exchange Rate – 2021 to March 18, 2026**



Source: Reserve Bank of Australia

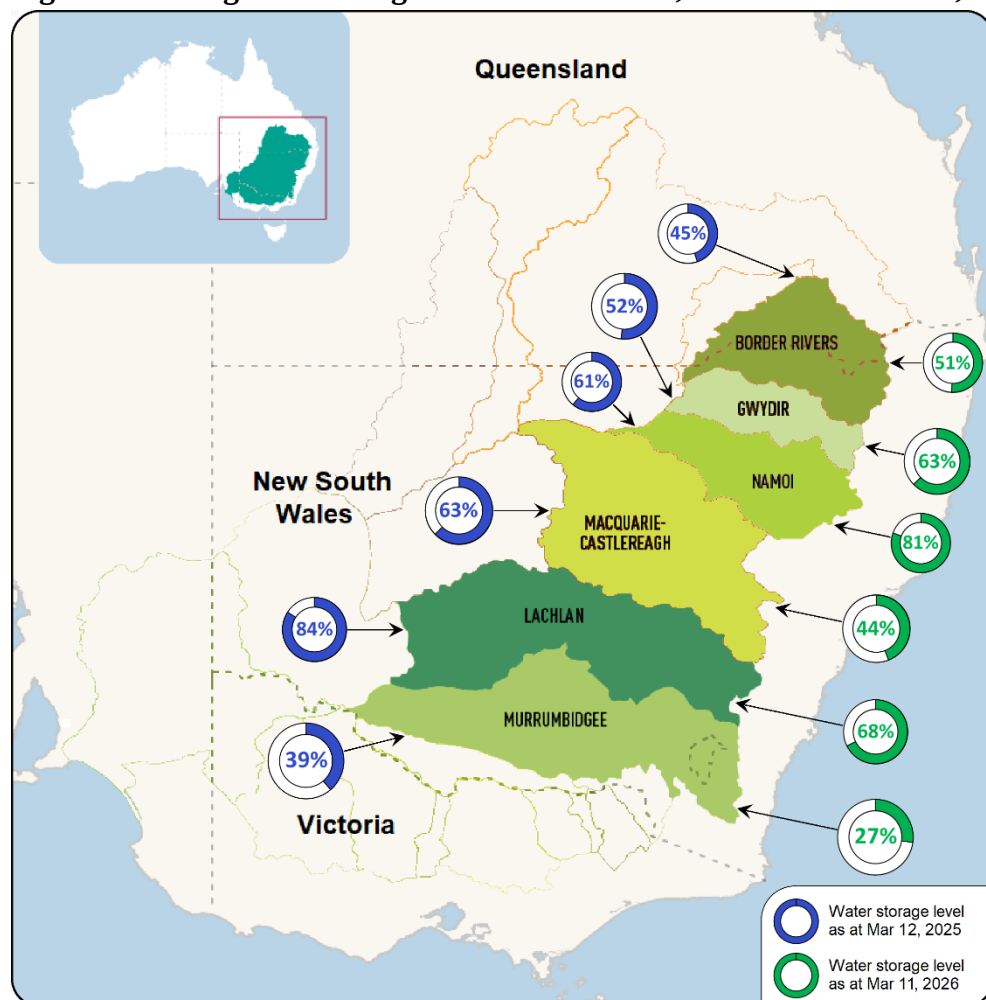
### Irrigation Water Availability

Irrigation water availability remains the primary determinant of cotton planted area in Australia, including for MY 2026/27. Changes in water storage levels from the previous year provide a strong indication of likely planting outcomes.

Irrigated cotton production systems differ regionally. In northern regions, growers rely heavily on overland flow and opportunistic water capture during high-flow events, storing water in on-farm dams. In contrast, southern regions depend more on regulated irrigation schemes, with less reliance on on-farm water harvesting.

As the MY 2025/26 irrigation season concludes, water storage levels in northern New South Wales and southern Queensland (including the Namoi, Gwydir, and Border Rivers systems) are higher than at the same time last year (see Figure 15). These regions typically account for over 70 percent of national irrigated cotton area.

**Figure 15 – Irrigation Storage Levels - March 12, 2025 and March 11, 2026**



Source: Murray Darling Basin Authority

In contrast, storage levels in central and southern New South Wales (Macquarie, Lachlan, and Murrumbidgee systems) have declined significantly. However, these regions account for a smaller share—approximately 15 percent—of national irrigated cotton production.

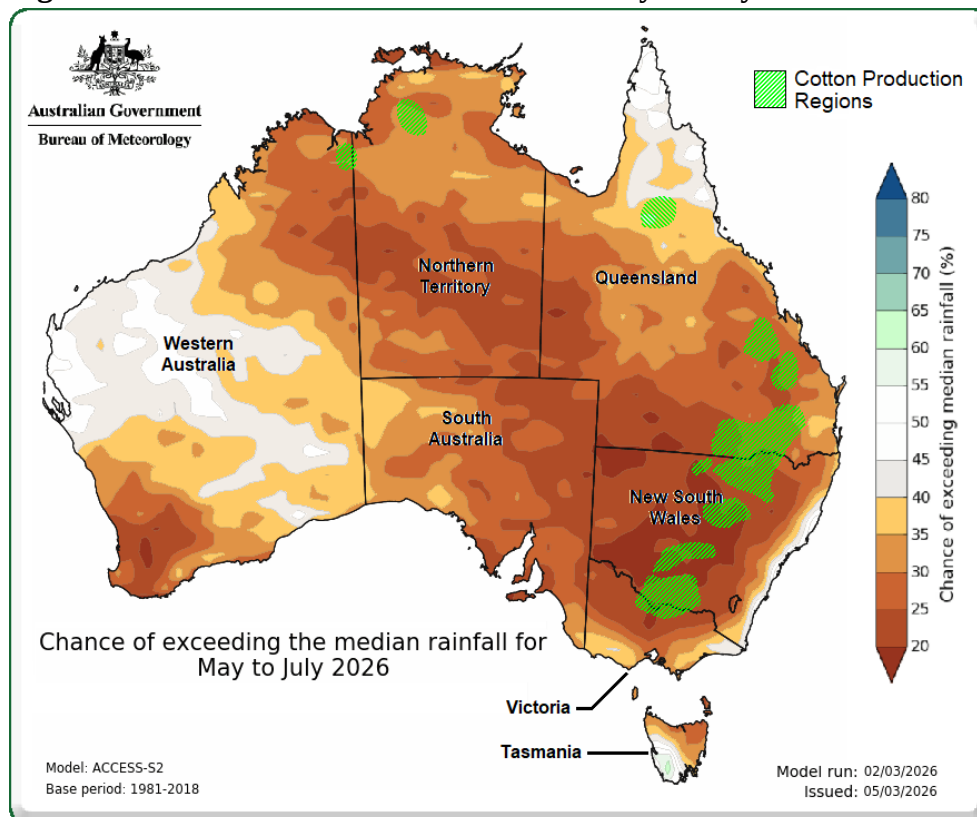
Northern regions have benefited from a strong tropical wet season, with monsoonal activity in early 2026 supporting inflows and on-farm water storage. In southern regions, water availability depends more on winter and spring rainfall. Given the need for water allocation certainty ahead of planting (from October), without an above-average rainfall during the upcoming winter and early spring period, cotton planting area will be constrained.

Overall, improved water availability in northern regions and parts of central Queensland is expected to support increased irrigated cotton area in MY 2026/27. However, these gains are likely to be partially offset by reduced capacity in southern regions.

#### Potential for Rainfall Recovery

Irrigation storages are typically replenished during winter and spring. Above-average rainfall during this period could improve water availability ahead of planting. However, the Australian Bureau of Meteorology outlook for May to July 2026 indicates a high likelihood of below-average rainfall (see Figure 16).

**Figure 16 – Australian Rainfall Forecast – May to July 2026**



Source: *Australian Bureau of Meteorology / Cotton Australia*

The southern New South Wales cotton producing regions which account for around 15 percent of national production are the areas where their irrigation scheme water storage levels have deteriorated and are most in need of rainfall in the coming months.

The irrigation schemes for southern cotton producing areas are in temperate climate regions where water inflows are typically highest in the winter and early spring months. For the late fall and early winter months of May to July 2026 the Australian Bureau of Meteorology forecast for well below average rainfall is a concern. However, there is scope for the outlook to change dramatically from May to July 2026 situation. For now, given that the irrigation water storages for the southern cotton producing regions have declined substantially over the last year and the short-term rainfall outlook is poor, it is likely that for MY 2026/27 growers in this region will face lower water availability than they had for MY 2025/26, restricting the area of irrigated cotton.

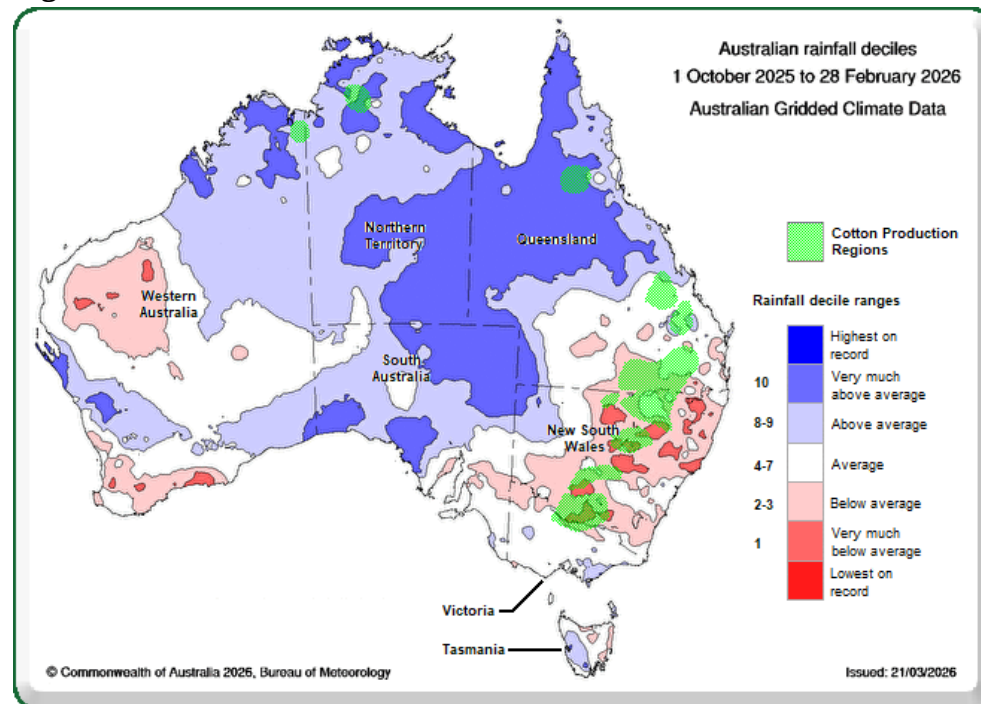
In contrast, northern production regions are less dependent on winter rainfall, with water availability influenced more by tropical systems. The strong 2026 wet season has already improved water reserves in these areas, partially offsetting the negative implications of the short-term rainfall outlook.

### **MY 2025/26 Production Estimate**

FAS/Canberra estimates cottonseed production at 1.13 MMT for MY 2025/26, with harvest commencing in April 2026. This represents a 20 percent decline from MY 2024/25, primarily due to reduced irrigation water availability across most producing regions.

Rainfall during the growing season has generally been below average, except in parts of northern Australia that experienced heavy rainfall associated with cyclone activity (see Figure 17). Despite this, growers report favorable temperatures and relatively low pest pressure, supporting good crop development.

**Figure 17 – Rainfall Deciles, Oct 2025 to Feb 2026**



Source: Australian Bureau of Meteorology / Cotton Australia

## Consumption

### MY 2026/27 Consumption Forecast

FAS/Canberra forecasts total domestic cottonseed consumption to remain stable at 800,000 MT in MY 2026/27. The majority is used in the livestock feed sector, with a relatively small portion processed into meal and oil.

### Cottonseed Crushing

Cottonseed crushing remains limited in Australia, with volumes forecast at 50,000 MT in MY 2026/27, compared to approximately 750,000 MT used for livestock feed.

There are two main crushing facilities:

- One facility primarily processes canola and has recently adapted its operations to allow for interchangeable crushing of both canola and cottonseed. This facility has the capacity to significantly expand cottonseed processing if market conditions shift in favor of cottonseed oil over canola oil.
- The second facility is a small crushing plant that supplies by-products to an affiliated livestock feed processing mill, rather than focusing on cottonseed oil production.

**Livestock Feed Demand**

The livestock industries are not reliant on cottonseed, as various alternative protein sources are available to meet feed requirements. As a result, fluctuations in domestic cottonseed consumption are largely influenced by availability, cost competitiveness relative to other protein feed sources, and price changes in cottonseed oil compared to canola oil.

**MY 2025/26 Consumption Estimate**

For MY 2025/26, consumption is estimated at 800,000 MT, up by approximately 60,000 MT from the previous year. This increase is largely attributable to stronger demand from beef feedlots, reflecting expanded throughput in response to robust export demand, particularly from the United States and China.

| Trade   |
|---------|
| Exports |

**MY 2026/27 Export Forecast**

FAS/Canberra forecasts cottonseed exports to increase to 500,000 MT in MY 2026/27, up from an estimated 450,000 MT in MY 2025/26. The increase reflects slightly higher production alongside stable domestic consumption, resulting in greater exportable surplus.

**MY 2025/26 Export Estimate**

For MY 2025/26, exports are estimated at 450,000 MT, down from 470,000 MT in MY 2024/25. Earlier forecasts for MY 2024/25 had projected significantly higher exports (around 700,000 MT), but stronger-than-expected domestic demand—particularly from the beef feedlot sector—reduced export availability.

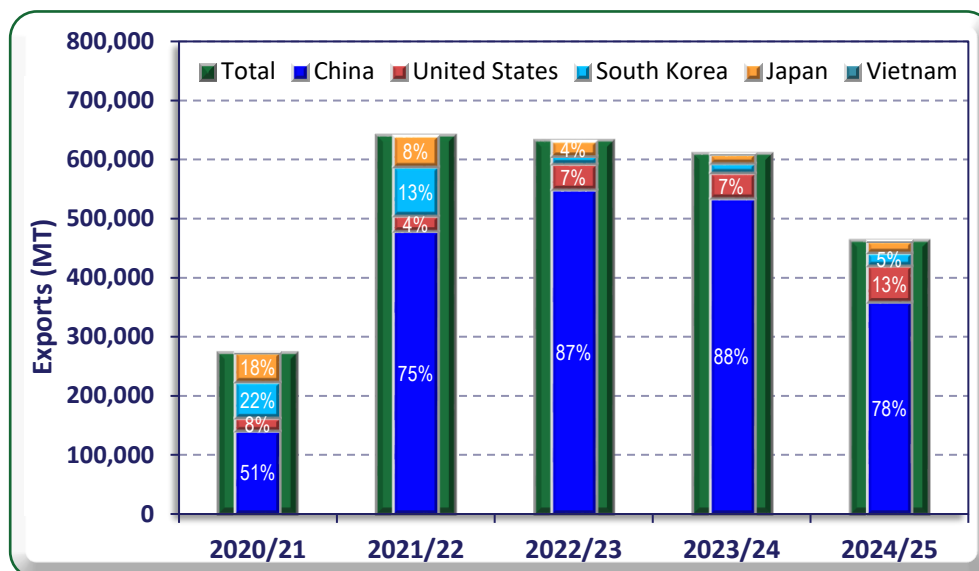
Demand for beef exports is expected to stabilize in MY 2026/27, supporting relatively steady domestic cottonseed consumption. As a result, incremental increases in production are likely to be directed toward export markets.

As of the first 10 months of MY 2024/25, exports totaled 462,000 MT, with historically low volumes expected in the final two months. The lower export estimate for MY 2025/26 reflects reduced production linked to tighter water availability.

China has been the dominant destination for Australian cottonseed exports in recent years, typically accounting for more than three-quarters of total exports (see Figure 18). In MY 2024/25, however, the United States increased its market share at China’s expense.



**Figure 18 – Cottonseed Export Destinations - Apr to Jan MY 2020/21 to 2024/25**



Source: Australian Bureau of Statistics

Note: Australia Marketing Year is April to March (eg MY 2024/25 = Apr 2025 to Mar 2026)

## Stocks

FAS/Canberra forecasts cottonseed ending stocks to remain relatively stable in MY 2026/27. Storage capacity is limited, and cottonseed is more difficult to store than cereal grains, which constrains stock accumulation.

As a result, there is a strong incentive for market participants to clear supplies in a timely manner, often through price adjustments, to avoid quality deterioration and spoilage.

**Table 5 - Production, Supply, and Distribution of Cottonseed**

| Oilseed, Cottonseed<br>Market Year Begins<br>Australia | 2024/2025     |          | 2025/2026     |          | 2026/2027     |          |
|--------------------------------------------------------|---------------|----------|---------------|----------|---------------|----------|
|                                                        | Apr 2025      |          | Apr 2026      |          | Apr 2027      |          |
|                                                        | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| Area Planted (Cotton) (1000 HA)                        | 700           | 638      | 500           | 549      | 0             | 570      |
| Area Harvested (Cotton) (1000 HA)                      | 638           | 638      | 470           | 549      | 0             | 570      |
| Seed to Lint Ratio (RATIO)                             | 0             | 0        | 0             | 0        | 0             | 0        |
| Beginning Stocks (1000 MT)                             | 58            | 58       | 251           | 251      | 0             | 128      |
| Production (1000 MT)                                   | 1403          | 1403     | 1127          | 1127     | 0             | 1285     |
| MY Imports (1000 MT)                                   | 0             | 0        | 0             | 0        | 0             | 0        |
| Total Supply (1000 MT)                                 | 1461          | 1461     | 1378          | 1378     | 0             | 1413     |
| MY Exports (1000 MT)                                   | 470           | 470      | 700           | 450      | 0             | 500      |
| Crush (1000 MT)                                        | 40            | 40       | 100           | 50       | 0             | 50       |
| Food Use Dom. Cons. (1000 MT)                          | 0             | 0        | 0             | 0        | 0             | 0        |
| Feed Waste Dom. Cons. (1000 MT)                        | 700           | 700      | 400           | 750      | 0             | 750      |
| Total Dom. Cons. (1000 MT)                             | 740           | 740      | 500           | 800      | 0             | 800      |
| Ending Stocks (1000 MT)                                | 251           | 251      | 178           | 128      | 0             | 113      |
| Total Distribution (1000 MT)                           | 1461          | 1461     | 1378          | 1378     | 0             | 1413     |
| Yield (MT/HA)                                          | 2.1991        | 2.1991   | 2.3979        | 2.0528   | 0             | 2.2544   |

(1000 HA) ,(RATIO) ,(1000 MT) ,(MT/HA)

## COTTONSEED MEAL

### Production

#### MY 2026/27 Production Forecast

FAS/Canberra forecasts cottonseed meal production to remain stable at 23,000 MT in MY 2026/27. Current production levels largely reflect the re-entry of a single processing facility, now operating at a relatively small scale.

Historically, Australia had significantly greater cottonseed crushing capacity. Between MY 2010/11 and MY 2017/18, cottonseed meal consumption ranged between 250,000 MT and 350,000 MT, driven primarily by the same business that has recently resumed operations, albeit at a reduced scale.

Current crushing activity is primarily oriented toward supplying the domestic cottonseed oil market. The facility also processes canola, with the ability to switch between oilseeds depending on relative market returns. In the absence of a significant shift in global demand favoring cottonseed oil, there is limited expectation of a material increase in crushing volumes. This is particularly the case given that most edible oils are broadly substitutable, which tends to maintain relative price parity across oil types.

#### MY 2025/26 Production Estimate

For MY 2025/26, FAS/Canberra estimates cottonseed meal production at 23,000 MT, up from 18,000 MT in MY 2024/25. This increase reflects the initial ramp-up phase toward current steady-state production levels.

### Consumption

FAS/Canberra forecasts cottonseed meal consumption to remain stable at 23,000 MT in MY 2026/27. Given the relatively small volume of production, the domestic livestock sector is expected to readily absorb all available supply.

### Trade

FAS/Canberra forecasts no cottonseed meal exports in MY 2026/27, consistent with recent years. Limited crushing volumes mean that all domestically produced cottonseed meal is consumed within Australia.

### Stocks

Cottonseed meal has a short shelf life, particularly in its wet form, and is typically used shortly after production. As a result, no meaningful stocks are carried over from year to year.

**Table 6 - Production, Supply, and Distribution of Cottonseed Meal**

| Meal, Cottonseed<br>Market Year Begins<br>Australia                         | 2024/2025     |          | 2025/2026     |          | 2026/2027     |          |
|-----------------------------------------------------------------------------|---------------|----------|---------------|----------|---------------|----------|
|                                                                             | Apr 2025      |          | Apr 2026      |          | Apr 2027      |          |
|                                                                             | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| <b>Crush</b> (1000 MT)                                                      | 100           | 40       | 100           | 50       | 0             | 50       |
| <b>Extr. Rate, 999.9999</b> (PERCENT)                                       | 0.45          | 0.45     | 0.45          | 0.46     | 0             | 0.46     |
| <b>Beginning Stocks</b> (1000 MT)                                           | 0             | 0        | 0             | 0        | 0             | 0        |
| <b>Production</b> (1000 MT)                                                 | 45            | 18       | 45            | 23       | 0             | 23       |
| <b>MY Imports</b> (1000 MT)                                                 | 0             | 0        | 0             | 0        | 0             | 0        |
| <b>Total Supply</b> (1000 MT)                                               | 45            | 18       | 45            | 23       | 0             | 23       |
| <b>MY Exports</b> (1000 MT)                                                 | 5             | 0        | 5             | 0        | 0             | 0        |
| <b>Industrial Dom. Cons.</b> (1000 MT)                                      | 0             | 0        | 0             | 0        | 0             | 0        |
| <b>Food Use Dom. Cons.</b> (1000 MT)                                        | 0             | 0        | 0             | 0        | 0             | 0        |
| <b>Feed Waste Dom. Cons.</b> (1000 MT)                                      | 40            | 18       | 40            | 23       | 0             | 23       |
| <b>Total Dom. Cons.</b> (1000 MT)                                           | 40            | 18       | 40            | 23       | 0             | 23       |
| <b>Ending Stocks</b> (1000 MT)                                              | 0             | 0        | 0             | 0        | 0             | 0        |
| <b>Total Distribution</b> (1000 MT)                                         | 45            | 18       | 45            | 23       | 0             | 23       |
|                                                                             |               |          |               |          |               |          |
| (1000 MT) ,(PERCENT)                                                        |               |          |               |          |               |          |
| OFFICIAL DATA CAN BE ACCESSED AT: <a href="#">PSD Online Advanced Query</a> |               |          |               |          |               |          |

## COTTONSEED OIL

### Production

#### MY 2026/27 Production Forecast

FAS/Canberra forecasts cottonseed oil production to remain stable at 8,000 MT in MY 2026/27. Production is largely concentrated in a single facility that has recently resumed cottonseed crushing. The primary objective of this operation is to supply the domestic market.

While the facility has the technical capacity to significantly expand cottonseed oil output, any increase would likely come at the expense of canola oil production, given shared processing infrastructure. In the absence of a meaningful shift in global price relationships favoring cottonseed oil, there is limited incentive to expand production.

#### MY 2025/26 Production Estimate

For MY 2025/26, FAS/Canberra estimates cottonseed oil production at 8,000 MT, up from 6,000 MT in MY 2024/25. This increase reflects the ramp-up to what is currently considered a steady state level under prevailing market conditions.

## Consumption

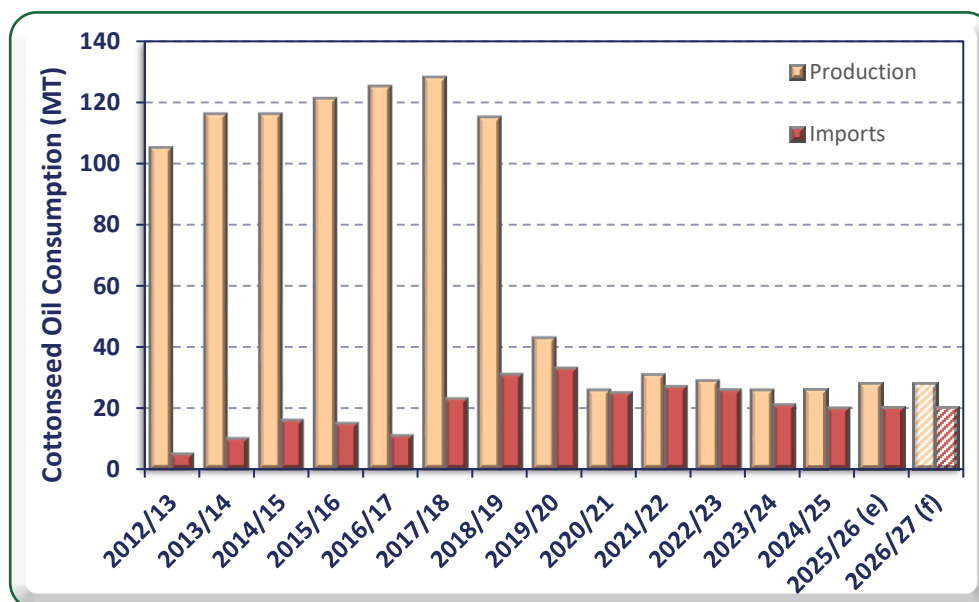
### MY 2026/27 Consumption Forecast

FAS/Canberra forecasts cottonseed oil consumption to remain stable at 28,000 MT in MY 2026/27. Both domestic production and imports are expected to remain broadly unchanged from MY 2025/26.

Historically, Australia produced over 100,000 MT of cottonseed oil annually through MY 2017/18 and for much of the preceding decade. During that period, imports rose to as high as 23,000 MT. However, following a severe drought that sharply reduced cottonseed availability, domestic crushing—and therefore oil production—declined to near zero.

Despite this contraction, imports did not increase sufficiently to offset the loss of domestic supply. Instead, import volumes rose modestly before stabilizing at around 20,000 MT in recent years, broadly in line with levels observed when domestic production was significantly higher (see Figure 19). This suggests that food service providers and consumers adapted by substituting toward alternative cooking oils.

**Figure 19 – Australian Cottonseed Oil Consumption and Import History**



Source: PSD Online / FAS/Canberra

Note: (e) = estimate, (f) = forecast

Note: Australia Marketing Year is April to March (eg MY 2023/24 = Apr 2024 to Mar 2025)

### MY 2025/26 Consumption Estimate

For MY 2025/26, consumption is estimated at 28,000 MT, a modest increase from 26,000 MT in MY 2024/25. Overall consumption remains structurally lower than historical levels, reflecting the long-term shift toward alternative edible oils.

## Trade

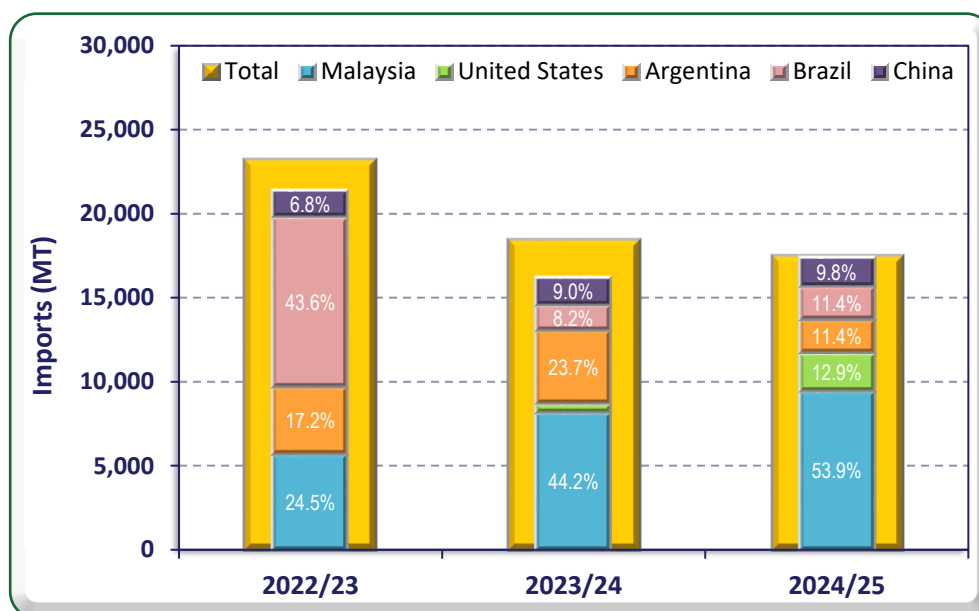
### Imports

#### MY 2026/27 Import Forecast

FAS/Canberra forecasts cottonseed oil imports to remain stable at 20,000 MT in MY 2026/27, unchanged from the MY 2025/26 estimate and broadly consistent with recent years. This reflects stable domestic supply and demand conditions.

In recent years, more than 90 percent of imports have originated from Malaysia, Argentina, Turkey, China, and Brazil (see Figure 20). Supplier shares have shifted over time, with Malaysia emerging as the dominant supplier. Notably, the United States became a more significant source of imports in MY 2024/25.

**Figure 20 – Major Cottonseed Oil Imports – Apr to Jan MY 2022/23 to 2024/25**



Source: Australian Bureau of Statistics

Note: Australia Marketing Year is April to March (eg MY 2023/24 = Apr 2024 to Mar 2025)

#### MY 2025/26 Import Estimate

For MY 2025/26, imports are estimated at 20,000 MT, unchanged from MY 2024/25, based on available trade data.

### Exports

Australia's cottonseed oil exports remain negligible, typically ranging between 40 and 90 MT annually. This reflects the focus of domestic production on meeting local demand, a pattern expected to continue in MY 2026/27.

## Stocks

Given relatively low levels of domestic production and imports, cottonseed oil stocks in Australia remain minimal. No significant change in stock levels is expected for MY 2026/27.

**Table 7 - Production, Supply, and Distribution of Cottonseed Oil**

| Oil, Cottonseed<br>Market Year Begins<br>Australia                          | 2024/2025     |          | 2025/2026     |          | 2026/2027     |          |
|-----------------------------------------------------------------------------|---------------|----------|---------------|----------|---------------|----------|
|                                                                             | Apr 2025      |          | Apr 2026      |          | Apr 2027      |          |
|                                                                             | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| <b>Crush</b> (1000 MT)                                                      | 100           | 40       | 100           | 50       | 0             | 50       |
| <b>Extr. Rate, 999.9999</b> (PERCENT)                                       | 0.15          | 0.15     | 0.15          | 0.16     | 0             | 0.16     |
| <b>Beginning Stocks</b> (1000 MT)                                           | 0             | 0        | 0             | 0        | 0             | 0        |
| <b>Production</b> (1000 MT)                                                 | 15            | 6        | 15            | 8        | 0             | 8        |
| <b>MY Imports</b> (1000 MT)                                                 | 20            | 20       | 20            | 20       | 0             | 20       |
| <b>Total Supply</b> (1000 MT)                                               | 35            | 26       | 35            | 28       | 0             | 28       |
| <b>MY Exports</b> (1000 MT)                                                 | 5             | 0        | 5             | 0        | 0             | 0        |
| <b>Industrial Dom. Cons.</b> (1000 MT)                                      | 0             | 0        | 0             | 0        | 0             | 0        |
| <b>Food Use Dom. Cons.</b> (1000 MT)                                        | 30            | 26       | 30            | 28       | 0             | 28       |
| <b>Feed Waste Dom. Cons.</b> (1000 MT)                                      | 0             | 0        | 0             | 0        | 0             | 0        |
| <b>Total Dom. Cons.</b> (1000 MT)                                           | 30            | 26       | 30            | 28       | 0             | 28       |
| <b>Ending Stocks</b> (1000 MT)                                              | 0             | 0        | 0             | 0        | 0             | 0        |
| <b>Total Distribution</b> (1000 MT)                                         | 35            | 26       | 35            | 28       | 0             | 28       |
|                                                                             |               |          |               |          |               |          |
| (1000 MT) ,(PERCENT)                                                        |               |          |               |          |               |          |
| OFFICIAL DATA CAN BE ACCESSED AT: <a href="#">PSD Online Advanced Query</a> |               |          |               |          |               |          |

### Attachments:

No Attachments